BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Case 25-E-0072

May 2025

Prepared Testimony of:
Staff Electric Resilience and
Reliability Performance
Mechanism Panel

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Q. Please state the names, employers, and business addresses of the members of the Staff Electric Resilience and Reliability Performance Mechanism Panel, referred to as the Staff ERRPM Panel or the Panel.

A. Our names are Emmanuel Alexis, Jonathan Murphy, Fabio Gonzalez-Colacicco, and Megan Woods. We are employed by the New York State Department of Public Service, referred to as the Department. Our business address is Three Empire State Plaza, Albany, New York 12223-1350 and 90 Church Street, New York, New York 10007.

Q. Mr. Alexis, what is your position at the Department?

A. I am a Utility Supervisor in the Resilience section of the Office of Resilience, Utility Security, Nuclear Affairs, and Emergency Preparedness, referred to as OREP.

Q. Please provide a summary of your educational and professional background.

A. I graduated from Florida Atlantic University with a Bachelor of Science degree in Mechanical Engineering in 2008. I am a registered Intern Engineer in the State of New York. I joined the

Department in 2011. While employed at the Department, I have completed Siemens Power Technology International courses on transmission and distribution system design and operations.

Q. Please describe your duties at the Department.

A. My responsibilities at the Department include monitoring electric utility reliability programs, storm hardening measures, and resiliency initiatives; and investigating electric incidents and emergency response issues. During my time at the Department, I have served as a subject matter expert for many projects and have been involved in many investigations of electric utility service disruptions, including Superstorm Sandy in October 2012, the March Windstorm in 2017, Winter Storms Riley and Quinn in March 2018, and the Brooklyn and Manhattan outages in July 2019.

Q. Have you previously testified before the Commission?

A. Yes. I testified before the Commission in numerous rate proceedings, including Cases 13-E-0030, 16-E-0060, 19-E-0065 and 22-E-0064 regarding Con Edison and Case 20-E-0428,

regarding Central Hudson.

Q. Mr. Murphy, what is your position at the Department?

A. I am a Utility Engineering Specialist 2 in the Resilience section of OREP.

Q. Briefly state your education background.

A. I received my Bachelor of Science in Physics from the University of Wisconsin La Crosse in 2011, Bachelor of Science in Electrical Engineering from the University of Minnesota Twin Cities in 2013, and Master of Science in Computer Science from the Georgia Institute of Technology in 2022.

Q. Briefly state your license and certification background.

A. I received my Professional Engineer, or PE, License from the state of California in 2017 and the state of New York in 2019. I received my Project Management Professional, or PMP, certification from the Project Management Institute, or PMI, in 2019.

Q. Briefly state your professional experience.

A. Before joining the Department, I worked 10 years in the private sector as an Electrical Engineer

and Project Manager for three engineering consultant firms. My responsibilities included designing electrical power distribution systems, delivery of project milestones to clients, and managing electrical department operations. In 2023, I joined the Department of Public Service as a Professional Engineer 1 in the Resilience Section of OREP.

Q. Briefly describe your duties at the Department.

A. My responsibilities include monitoring utilities' reliability, resiliency, and storm response performance; reviewing capital and operations and maintenance, or O&M, budget reports; investigating reliability complaints; and analyzing new and existing technologies within the electrical power industry.

Q. Have you previously testified before the Commission?

A. Yes, I testified in Case 24-E-0322, regarding the rate proceedings for Niagara Mohawk Power Corporation, or NMPC.

Q. Mr. Gonzalez-Colacicco, what is your position at the Department?

A. I am a Utility Engineering Specialist 1 in the

Resilience section of OREP.

Q. Briefly state your education background.

A. I graduated with a Bachelor of Science degree in Mechanical Engineering Technology from New York City College of Technology in December 2021.

Q. Please describe your professional experience and responsibilities with the Department.

A. I have been employed by the Department since September 2022. My responsibilities include monitoring utility storm hardening and resiliency activities; assessing electric utility budgets and programs in rate cases; and reviewing electric utility resiliency and reliability programs.

Q. Have you previously testified before the Commission?

A. Yes, I have testified before the Commission in Case 24-E-0060, Orange and Rockland Utilities Inc.’s most recent rate case, as part of the Staff Electric Resilience, Reliability, and Vegetation Management Panel.

Q. Ms. Woods, what is your position at the Department?

A. I am employed as a Utility Analyst 1 within the

Emergency Preparedness section of OREP.

Q. Briefly state your education background.

A. I received my Bachelor of Science Degree in Psychology from the Sage College of Albany, New York in 2021. In 2023, I joined the Department of Public Service as a Utility Analyst Trainee 1 in the Emergency Preparedness Section of OREP.

Q. Briefly describe your current duties at the Department.

A. My job duties in the Emergency Preparedness Section of OREP include work related to, but not limited to, reviewing the utilities' emergency response plans, researching, and providing financial information for various investigations and cases, analyzing utilities' procedures, and researching and providing information on utilities' proposals and compliance.

Q. Have you previously provided testimony in electric rate proceedings before the Commission?

A. Yes, I provided testimony in Case 24-E-0060, regarding Orange and Rockland Utilities, Inc., Case 24-E-0322, regarding Niagara Mohawk Power Corporation d/b/a National Grid, and Case 24-E-0461, regarding Central Hudson Gas & Electric

Corporation.

Scope of Testimony

Q. What is the purpose of the Panel's testimony in this proceeding?

A. The purpose of our testimony is to address certain electric capital projects and operations and maintenance programs presented by the Electric Infrastructure and Operations Panel, referred to as EIOP, of Consolidated Company of New York, Inc., referred to as Con Edison or the Company. More specifically, this testimony will address storm hardening and resiliency programs, electric distribution replacement programs, certain risk reductions and reliability programs, and a subset of the Company's O&M expense proposals. In addition, we will provide recommendations on a subset of the Company's incremental full-time equivalent (FTE) electric operations staffing requests, the electric reliability performance mechanism (RPM), wildfire risk and response, the outage notification mechanism (ONIM), and a subset of Information Technology (IT) programs. These items were addressed in the testimonies of the

Company's EIOP, Customer Operations Panel and IT Panel.

Q. What period does the Company's EIOP testimony cover?

A. The testimony includes proposals for the 12-month period ending December 31, 2026, referred to as the Rate Year or RY1, the 12-month period ending December 31, 2027, referred to as Rate Year 2 or RY2, and the 12-month period ending December 31, 2028, referred to as Rate Year 3, or RY3.

Q. Which items presented by the Company's EIOP are not addressed by the ERRPM Panel?

A. We do not address programs and projects included in the system expansion, new business, equipment purchase, substation replacement, environmental, and electric production categories. Additionally, we do not address charges for special services, tariff changes, SF6 emission regulations, and revocable consents. These items are addressed by Staff Electric Infrastructure and Operations Panel (SEIOP), and Staff Accounting Panel.

Q. In your testimony, will the Panel refer to, or

rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes, the Panel refers to and relies upon several responses to Information Requests (IRs), which are contained in Exhibit___(ERRPM-1). We will refer to these IR responses by the designation given to them by the Department, for example, DPS-123.

Q. Is the Panel sponsoring any additional exhibits in support of its testimony?

A. Yes, the Panel is sponsoring three additional exhibits. Exhibit___(ERRPM-2) contains our recommended capital adjustments for RY1, RY2 and RY3. Exhibit___(ERRPM-3) provides our recommendations for a portion of the Company's operating expenses and FTE proposals. Exhibit___(ERRPM-4) contains the Panel's recommendation for Con Edison's RPM metrics and targets.

Review Process

Q. Please explain the Panel's process for reviewing the Company's programs and projects.

A. The Panel reviewed and evaluated the information provided by Con Edison in its filing and

analyzed information provided in the Company's EIOP Testimony and Exhibits, supplemented by numerous Company responses to IRs in this proceeding. The Panel has participated in technical discussions and field visits with the Company to investigate and confirm the status of major on-going and conceptual capital projects to assist in our analysis of the timing, reasonableness of cost estimates, and the overall need for the projects. This analysis and evaluation resulted in the recommendations discussed in our testimony.

Q. Please describe the methodology the Panel used to develop its recommendations and adjustments for specific projects and programs.

A. The Panel used multiple methods in reviewing the Company's projects and programs. We reviewed the Company's justification, alternatives considered, historical trends, benefits, and the needs of the electric system. The recommendations we provide to specific programs that reference historical data or trends herein, generally adhere to a review of a three-year period for reliability programs and a five-year

period for asset replacements programs, unless otherwise noted. Generally, we believe the analysis of these timeframes adequately portrays future program requirements that rely on trending historical data. For some capital adjustments discussed herein, inflation rates, received from Staff Witness Daniel Gadomski, of 2.66 percent, 2.40 percent and 2.20 percent were included in project costs for calendar years 2026, 2027 and 2028, respectively. In addition, when reviewing projects related to storm hardening and resiliency, we reviewed the climate hazards and vulnerabilities that the project or program is intended to mitigate. Specific program and project adjustments are discussed in more detail later in our testimony. A summary of the Panel's adjustments is provided in Exhibit___(ERRPM-2).

Electric Capital Expenditures

Q. Please summarize the capital investment portion of the Company's EIOP testimony this Panel reviewed.

A. On pages 55 and 56 of EIOP's initial testimony, the Company proposes total transmission and

distribution electric plant capital expenditures of approximately $3.93 billion, $4.37 billion, and $4.60 billion in RY1, RY2, and RY3, respectively. Over these three rate years and as shown in Exhibit___(EIOP-1), the Company requests capital expenditures totaling approximately $0.55 billion for storm hardening and resiliency programs, $3.40 billion for risk reduction and reliability programs, and $1.96 billion for replacement programs. Of these capital budget program categories, the ERRPM Panel reviewed approximately $0.55 billion, $0.97 billion, and $1.77 billion of proposed capital spending for storm hardening and resiliency, risk reduction and reliability, and replacement programs, respectively. The Panel's recommendations regarding specific programs and projects within each of these categories are discussed throughout this testimony and are listed in Exhibit___(ERRPM-2).

Q. Do any other Staff Panels provide recommendations regarding the Company's electric capital expenditure program and project proposals?

A. Yes. SEIOP recommends additional electric capital adjustments to projects and programs proposed by the Company.

Storm Hardening and Resiliency

Q. Please describe the Company's storm hardening and resiliency category.

A. As stated on page 142 of the EIOP initial testimony, the storm hardening and resiliency category includes investments that are designed to strengthen the Company's electric distribution system, reduce the amount of damage sustained during severe weather events, and improve the Company's ability to repair damage and restore service after extreme weather events. Seven of the eight proposed storm hardening and resiliency investment measures are included in the Company's revised Climate Change Resilience Plan, or CCRP, filed on February 18, 2025 in Case 22-E-0222.

Q. What is the CCRP?

A. On February 24, 2022, Governor Hochul signed into law an act that added a new subdivision 29 to Public Service Law, or PSL, §66. PSL Section 66(29) requires major New York electric

utilities to conduct a Climate Change Vulnerability Study, or CCVS. After the CCVS, the law requires the utilities to develop and file a Climate Change Resilience Plan to mitigate vulnerabilities described or identified in the CCVS. The legislation also requires that the Commission approve or modify the Plans within 11 months of their filing. On December 19, 2024, in the Order Regarding Electric Utility Climate Change Resilience Plans, or CCRP Order, the Commission approved but directed certain modifications to the CCRP filed by Con Edison in November of 2023. To address the Commission's directives, the Company filed a revised CCRP in February 2025.

Q. How are the storm hardening and resiliency category related to the Company's revised CCRP?

A. The revised CCRP the Company filed in Case 22-E-0222 contains projects and programs that extend into the next 5, 10, and 20-year periods as outlined in Section PSL section 66(29). A subset of the entire CCRP appears in the Company's rate filing. The CCRP programs the Company plans on beginning in Rate Years 1, 2,

and 3 appear in this rate filing. Specifically, Con Edison proposes seven programs and a Storm Response Center project under the storm hardening and resiliency category. All the programs are included in the storm hardening and resiliency category, but the Storm Response Center project is not.

Q. Did the Commission approve any specific CCRP investments in the CCRP Order?

A. No, while the Commission directed the Company to file a revised CCRP to remove projects improperly classified as climate change driven resilience investments, the CCRP Order did not approve any specific program investments. Specifically, the Commission directed that the cost, timing, and priority of climate change driven resilience investments be addressed in rate proceedings.

Q. Did the Panel consider cost, timing, and priority in its review of the Company's proposed storm hardening and resiliency investments?

A. Yes, in addition to reviewing the climate hazards and vulnerabilities that a project or program is intended to mitigate, we reviewed the

cost, timing, need, and priority of each program or project.

Q. Based on this review, is the Panel recommending any adjustments to the storm hardening and resiliency category?

A. Yes, we recommend adjustments to Critical Facilities Resiliency, Primary Feeder Resiliency, Non-Network Resiliency, Selective Undergrounding Resiliency, and Submersible Equipment programs. Additionally, we recommend no funding for the Storm Response Center project.

Critical Facilities Resiliency

Q. Please describe the Company's Critical Facilities Program.

A. Starting on page 2 of Exhibit___(EIOP-10), the Company explains that the program is intended to enhance the resilience of facilities critical to public health, safety, and infrastructure by strengthening the non-network distribution circuits serving these facilities. The program implements strategies such as undergrounding overhead cables, replacing open-wire conductors with aerial cable, adding redundancy through

Supervisory Control and Data Acquisition, or SCADA, and loop designs, and configuring circuits for rapid deployment of emergency backup generation.

Q. What capital funding did the Company request for this program for RY1, RY2, and RY3?

A. The Company requests $9.3 million, $9.6 million, and $9.9 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states, on pages 2 to 6 of Exhibit___(EIOP-10), that the program is essential to address vulnerabilities identified in the Company's 2019 and 2023 Climate Change Vulnerability Studies. These studies project increased risks from extreme weather events, including wind, ice, flooding, and heat, which pose significant threats to the overhead distribution systems. The program is intended to prevent outages at Critical Facilities and ensure continuous community services during emergencies.

Q. Does the Panel agree with the Company's

justification and need for this program?

A. Yes, in part. The Panel recognizes the importance of strengthening circuits serving Critical Facilities to enhance resilience and reduce outages during extreme weather events. However, the Panel is concerned about the Company's historical underspending, shifting of funds to other priorities, and basing funding levels it requests on historical budgeted program levels instead of actual historical expenditures.

Q. What are the Panel's specific concerns with this program?

A. The Panel is concerned that the Company has not fully utilized previous funding allocations. The Company's budget was $3.5 million in 2020 and $9 million in each of 2021, 2022, 2023, and 2024. The Company's actual spending was $1.5 million in 2020, $6.1 million in 2021, $6.1 million in 2022, $3.6 million in 2023, and $5.0 million in 2024. The Company underspent its budget by 46 percent over the five-year span. Additionally, the Company states in its response to DPS-319 that the funds for this program have

been shifted to other, higher priority programs.

Q. Does the Panel have any other concerns regarding this program?

A. Yes. The Company bases its funding request for the rate years on historical program budgeted levels instead of actual expenditures. The Company states, on page 10 of Exhibit___(EIOP-10), its spending forecast is based on program costs from 2023 to 2024, with an additional four percent increase per year to account for increase labor and material costs. The Panel does not agree with the Company's approach because the requested funding levels should be based on actual expenditures. As the Panel previously stated, the Company has underspent the program budget in both 2023 and 2024.

Q. Has the Company developed projects for this program?

A. The Company states in its response to DPS-319 that it only has detailed projects planned for 2026. While the Company requests $9.3 million and $9.6 million in 2027 and 2028, respectively, the Company has not yet developed projects for these two years.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $5.0 million per year in RY1, RY2, and RY3. The Panel's recommended funding levels equate to reductions of approximately $4.3 million, $4.6 million, and $4.9 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel's recommendation is based on the Company's historical underspending and shifting of funds to other priorities. Moreover, the Company has not identified projects to be completed in 2027 or 2028. Therefore, the Panel recommends funding levels for the three rate years based on recent actual historical spending and work activity trends in recent years. This will ensure that resources are allocated efficiently and in line with actual program needs.

<u>Non-Network Resiliency</u>

Q. Please describe the Company's Non-Network Resiliency Program.

A. Starting on page 21 of Exhibit___(EIOP-10) the Company states that the program is to strengthen the overhead distribution system, which includes non-network circuits such as 4kV, 13kV, 27kV, and 33kV systems. The Company also states that the program addresses vulnerabilities identified in the Climate Change Vulnerability Study, or CCVS, including risks from wind, ice, extreme storm events, and heat. The Company's program strategies include replacing open-wire conductors with aerial cable, improving source reliability by upgrading feeder cables, and installing Automatic Transfer Switches, or ATS, for redundancy. The Company states on page 22 of Exhibit___(EIOP-10) that the program uses the Overhead Program Optimization Tool, or OHPOT, to prioritize circuits based on outage history, fault current, and environmental justice metrics. The Company also states that work is prioritized by region, with plans to complete project scopes over the next 20 years.

Q. What capital funding did the Company request for this program for RY1, RY2, and RY3?

A. The Company requests $13.2 million, $15.0

million, and $16.8 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on pages 21 to 25 of Exhibit___(EIOP-10) that the program is essential to mitigate risks from climate-driven extreme weather events, such as hurricanes, nor'easters, wind, ice, and heat. Specific measures, such as replacing open-wire conductors with aerial cable and installing ATS, are designed to harden the system, limit outages, and ensure faster restoration of service.

Q. Does the Panel agree with the Company's approach for this program?

A. No. While the Panel acknowledges the importance in addressing vulnerabilities to climate-driven hazards and improving system reliability, the Panel is concerned that there is duplication of activities between this new resiliency program and the Company's existing Non-Network Reliability Program. The Non-Network Reliability Program is discussed later in the risk reduction and reliability portion of our

testimony.

Q. What is the Panel's recommended funding for the Non-Network Resiliency Program?

A. The Panel recommends no funding for this program during the rate years. Our recommendation results in adjustments of $13.2 million, $15.0 million, and $16.8 million in RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel's recommendation acknowledges the necessity of hardening the overhead distribution system to address climate-driven vulnerabilities. While the Panel supports the Non-Network Resiliency Program's overall objectives, there are similarities to program activities included in this new program and the existing Non-Network Reliability Program. As shown in the response to DPS-316 and pages 21 to 25 of Exhibit___(EIOP-10), the work scope for the two programs is similar and do not have clear distinguishing differences to justify the need for Non-Network Resiliency Program investments in the rate years. Program

activities such as cable replacement, switch installations, and improving source reliability are proposed under both programs with no clear indication of the basis used to determine the appropriate program to include these activities. To ensure efficient implementation, prioritization and alignment with broader resilience goals, the Company needs to develop and include distinct activities under the Non-network Resiliency Program. Moreover, the Company underspent its capital budget for the Non-Network Reliability Program in 2024, and this concern is addressed in the risk reduction and reliability section of our testimony. Therefore, the Panel recommends that the Commission reject the Company's requested funding for the Non-network Resiliency Program to avoid any potential duplication with the Non-network reliability Program.

Primary Feeder Resiliency

Q. Please describe the Company's Primary Feeder Resiliency Program.

A. Starting on page 31 of Exhibit___(EIOP-10), the Company explains that the program enhances the

core resiliency work performed under the Primary Feeder Reliability Program by addressing both reliability and resiliency, as measured by the Company's Network Reliability Index, or NRI. Efforts include the installation of additional interrupters and the bifurcation feeders to improve system performance against future climate changes.

Q. What capital funding did the Company request for this program for RY1, RY2, and RY3?

A. The Company requests $24.0 million, $22.2 million, and $29.2 million in RY1, RY2, and RY3, respectively.

Q. What is the Company’s justification and need for this program?

A. The Company states on pages 32 to 35 of Exhibit___(EIOP-10) that climate projections indicate an increase to the frequency, duration, and intensity of low probability but potentially high impact events. If the Company is not prepared for the high impact weather events, customers could be significantly impacted.

Q. Does the Panel agree with the Company’s proposals for this project?

A. Yes, in part. We agree the Company needs to prepare for high impact weather events. Historically, the Company has completed similar work under the Primary Feeder Reliability program.

Q. What are the Panel's specific concerns regarding the Company's proposed increase in interrupter switches and feeder bifurcation?

A. The Company is requesting a significant increase to the quantity of interrupter switches and feeder bifurcation legs, forecasting the installation of 59 interrupter switches and 174 primary feeder bifurcation legs over the next three years. This represents a major increase compared to the last three years, during which the Company completed only five interrupter switches, two feeder bifurcations, and one reconfiguration according to its response to DPS-382. The Company has not demonstrated sufficient basis or capability to execute such a large increase.

Q. What concerns does the Panel have regarding the Company's use of projected temperature variability, or TV, to justify its proposed

program expansion?

A. The Company states in its response to DPS-382 that an increase in TV of one degree Fahrenheit is projected by 2030. The Company uses this projection as a justification for the proposed increased resiliency efforts. The Panel acknowledges the importance of preparing for climate-driven extreme heat events but notes concern with the Company's reliance on projections without clear quantification of near-term impacts. Although Con Edison indicates it will incorporate projected TV values into future Network Reliability Index analyses, the Company acknowledges that NRI is not a forecasting tool. Furthermore, the Company's 2022 hypothetical forward-looking NRI analysis, which assumed one degree Fahrenheit TV increase, relies heavily on assumptions about future load growth and network conditions and was described as indicative rather than actionable for decision-making and work planning.

Q. What are the Panel's concerns regarding the use of Network Reliability Index to justify the

program expansion?

A. The Company's response to DPS-382 provides NRI data for the 65 second contingency networks, stating goals of maintaining an NRI below 1.0 for each network and below 0.5 for the 25 networks with the worst NRI. As of 2024, the Company is meeting these goals with only five networks over an NRI of 0.5 and 45 networks with an NRI of less than 0.1. While the NRI remains a useful indicator of network performance, the Panel finds that the existing NRI data show no widespread reliability issues that would warrant the extensive expansions proposed.

Q. What is the Panel's capital funding recommendation for this program?

A. The Panel recommends a capital budget of $10.0 million in each of RY1, RY2, and RY3. Our recommended funding levels equate to downward adjustments of approximately $14.0 million, $12.2 million, and $19.2 million for RY1, RY2, and RY3, respectively. The program budget was adjusted to more accurately reflect the quantity of work completed by the Company over the last three years, and our recommended budget will

allow the Company to continue its replacement efforts.

Selective Undergrounding Resiliency

Q. Please describe the Company's Selective Undergrounding Resiliency Program.

A. Starting on page 144 of the EIOP initial testimony, Con Edison states that the program involves the conversion of 68 miles of non-network system from overhead to underground at a cost of $230M over the three rate years. The Company states on page 48 of Exhibit___(EIOP-10), that the estimated cost to place overhead distribution circuit underground is approximately $4 million per mile, and this estimation is based on two completed and six in-flight undergrounding pilot projects.

Q. What capital funding did the Company request for this program?

A. The Company requests $60 million, $70 million, and $100 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on pages 43 to 45 of

Exhibit___(EIOP-10) that the investments made in the overhead distribution system under this program proactively improve the Company's resiliency by preventing likely outages from climate-induced extreme weather events by eliminating the circuits exposure to the extreme weather.

Q. Does the Panel agree with the Company's proposals for this project?

A. Yes, in part. The Panel agrees that one method to increase electric system resilience to extreme weather events like icing and winds is to move overhead distribution lines to underground conduits. There are limited resilience benefits for extreme weather events such as flooding. The underground distribution system is also negatively impacted by road salt which has no impact on overhead lines.

Q. Does the Panel have any concerns with this program as proposed by Con Edison?

A. Yes, the Company states in response to DPS-308 that over the last four years it has completed two projects and have six ongoing projects. On page 49 of Exhibit___(EIOP-10) the Company shows

that it spent $54 million to underground 13 miles of overhead feeders. Our first concern is that all projects, completed and ongoing, have experienced delays resulting in the Company underspending its budget. In its response to DPS-308, Con Edison states that the delays were caused by difficulty in identifying equipment installation locations and coordinating the work with customers.

Q. Does the Panel have any further concerns with this program?

A. This program began as a pilot program with the intention to underground the main line, spurs, and service to the customer. The Company states in response to DPS-308 that customer service conversions have caused increased time, cost, and liability for projects. In future projects, the Company states it would focus on only the main line runs so to improve cost effectiveness.

Q. What is the Panel's recommended funding for this capital program?

A. The Panel recommends a capital budget of $15 million per year in each of RY1, RY2, and RY3. Our recommended funding levels equate to

downward adjustments of approximately $45 million, $55 million, and $85 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel agrees the undergrounding program is an important option to consider when improving the resiliency of the Company's electrical system. The Company has shown improvements to reliability metrics and resilience to extreme wind events for circuits that have been undergrounded. Unfortunately, the initial pilot program's attempt to underground customer service lines did not meet expectations. For customer service conversions, the initial pilot program suffered from installation delays. This led to the Company underspending the program budget. The Company plans to address this issue by revising the program. The revised program will focus on undergrounding main line circuit runs. The Panel agrees that the Company should continue to pursue undergrounding main lines when appropriate for resilience. However, as the pilot program requirements were revised by

removing customer service conversion, the Panel does not agree with the funding request. The Panel recommends continuing undergrounding efforts at a rate of approximately three miles per year which is similar to the Company's historic efforts. The Company should continue to monitor the success of its revised requirements to determine if the program is meeting expectations.

Storm Response Center

Q. Please describe the Company's Storm Response Center, or SRC, Project.

A. Starting on page 51 of the Exhibit___(EIOP-10), the Company explains that this project involves the development of a centralized storm response facility designed to support fly-in mutual aid crews. The facility will house and maintain storm vehicles, essential storm materials and equipment, and include a mutual aid storm operations management center. Additionally, it will provide indoor space for meetings and training, an outdoor training area, sleeper trailers to accommodate up to 500 mutual aid crew members, associated support spaces, and

storage capacity for over 250 emergency bucket trucks.

Q. What capital funding did the Company request for this project?

A. The Company requests $43.7 million, $44.6 million, and $38.1 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this project?

A. The Company states on pages 54 to 56 of Exhibit___(EIOP-10) the Storm Response Center is intended to address the increasing frequency and intensity of extreme weather events in New York, exacerbated by climate change, which have posed challenges to the utility's customers and communities. According to the Company, the Storm Response Center aims to reduce outage durations, restoration costs, and damage from future weather events. On page 60 of Exhibit___(EIOP-10), the Company states by eliminating the need for mutual aid crews to drive their own equipment, the Storm Center will enable faster response times and more efficient restoration efforts. Additionally, the Company

states on page 51 of Exhibit___(EIOP-10), that it will function as a year-round hub for training, coordination, and public education, bolstering overall preparedness and collaboration among utilities, first responders, and municipalities. The facility also offers flexibility to assist neighboring utilities during extreme weather, enhancing regional resilience.

Q. Does the Panel agree with the Company's proposal?

A. No.

Q. What are the Panel's specific concerns with this project?

A. The Storm Center would be a joint effort between Con Edison and Orange and Rockland. The Center would need to provide services to both utilities' service areas, which encompass all or portions of Orange County, Rockland County, Westchester County, and New York City.

Q. Where will the Storm Response Center be located?

A. Based on the plans submitted by the Company, it is very unlikely that the Storm Center would be located in Con Edison's service territory, which

raises questions as to how the Storm Center would facilitate the Company's stated goal of providing efficient and timely responses to its customers.

Q. Has the Commission opined on the Storm Center in previous cases?

A. Yes. In the CCRP Order, Commission directed Con Edison to remove the Storm Resilience Center from the Company's CCRP. The Storm Resilience Center proposed in the Company's CCRP has the same project description and justification as the Storm Response Center in these proceedings. In the Commission's CCRP Order, the Commission states that considering the substantial capital investment needed for the Storm Center the Commission rejected the Storm Center on the basis it would not improve system reliability. Although the Company claims the Storm Center would reduce outage restoration costs and outage times, the Company's statement appears to be based on a high-level analysis of a single restoration event for a storm located in Westchester County.

Q. What is the Panel's recommended funding for this

program?

A. The Panel recommends that the Commission again reject funding of this project for the reasons we have stated.

Submersible Equipment Program

Q. Please describe the Company's Submersible Equipment Program.

A. Starting on page 145 of the EIOP initial testimony, the Company explains that the program will replace equipment on the underground electric distribution system with new submersible equipment capable of withstanding the potential impact of climate driven flooding from sea-level rise, storms, and deluge rain.

Q. What capital funding did the Company request for this program for RY1, RY2, and RY3?

A. The Company is requesting $7.3 million, $9.9 million, and $9.9 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on pages 62 to 69 of Exhibit___(EIOP-10) that the program is needed to address the increasing risks posed by climate

change-driven flooding and sea level rise to the Company's underground electric distribution system, as identified in the 2019 and updated 2023 Climate Change Vulnerability Studies, collectively, Studies. The Studies project significant sea level rise and intensified coastal flooding, which threaten equipment with damage, corrosion, soil weakening, and accessibility issues. According to the Company, by upgrading vulnerable infrastructure, such as installing submersible transformers and network protectors designed to meet elevated design flood elevation standards, the Company aims to prevent damage, mitigate outages, and reduce recovery times and costs.

Q. Does the Panel agree with the Company's proposals for this project?

A. Yes, in part. The Company has completed similar work within the Transformer Installation Program; however, the Company requests a significant increase in quantity of work to be completed over the three rate years. The Company states in response to DPS-387 that 473 submersible transformers and 10 network

protectors, or NWPs, have been installed annually over the last five years. Over the next three years, for submersible transformers, the Company proposes to complete 1,100 per year, which is more than double the number of transformers that were installed on average in the last five years. Regarding network protectors, the Company proposes 50 per year, or five times the average number of NWPs completed in the last five years.

Q. Does the Panel have any other concern with the Submersible Equipment Program?

A. Yes, the Company's revision to flood design standards is based on a median 50 percent risk tolerance that projects a sea level rise of 12 inches by 2040. The projections are considered the median by the Intergovernmental Panel of Climate Change, or IPCC, Sixth Assessment Report. IPCC estimates a sea level rise between eight inches and 19 inches by 2040 for best-case and worst-case scenarios. Considering these are future projections and that the Climate Change Vulnerability Study will be revised by 2028, risk tolerance levels could change. Thus, the

Panel recommends continuing the installation of submersible transformers at a rate over the last five years and reviewing risk tolerance projections again in the future.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $4.5 million, $4.6 million, and $4.7 million in RY1, RY2, and RY3, respectively. Our recommended funding levels equate to downward adjustments of approximately $2.8 million, $5.3 million, and $5.2 million for RY1, RY2 and RY3, respectively. The Panel's recommended budget would allow the Company to continue installation of submersible transformers at a slightly higher rate than its recent five-year average.

Risk Reduction and Reliability

Q. Please describe the Company's risk reduction and reliability category.

A. The Company states on page 112 of the EIOP initial testimony that the risk reduction and reliability category includes programs and projects designed to maintain the operational capability, reliability, and safety of the

Company's electric system by upgrading and replacing system components before they become degraded or obsolete.

Q. Is the Panel proposing any adjustments to the risk reduction and reliability category?

A. Yes, we recommend adjustments to Condition Based Monitoring, Distribution Sensors, Energy Management System and Auxiliary System Upgrades, Erosion Protection and Drainage Upgrade, Non-Network Reliability, Overhead Insulator Resiliency, Primary Feeder Reliability, Protection Control and Automation, Substation Enclosure Upgrade Resiliency, and Underground Secondary Reliability.

Condition Based Monitoring

Q. Please describe the Company's Condition Based Monitoring Program.

A. Starting on page 30 of Exhibit___(EIOP-8), the Company explains that the program installs condition-based monitoring equipment on power transformers, battery banks, and other critical substation assets to detect incipient faults, optimize maintenance, and prevent catastrophic failures. Key components include Load Tap

Changer, or LTC, monitors, online dissolved gas-in-oil analyzers, or DGOA, digital transformer temperature monitors, or Qualitrol, and battery monitoring systems. These devices enable real-time data collection, remote communication, and automatic alarming, allowing for proactive maintenance and improved reliability. The program also addresses aging equipment, such as replacing 120 out-of-warranty Kelman DGOA monitors and 58 analog temperature sensors, while integrating advanced monitoring technologies to enhance system resilience and compliance with cybersecurity standards.

Q. What capital funding does the Company request for this program for RY1, RY2, and RY3?

A. The Company requests $16.5 million, $21.4 million, and $17.4 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on pages 30 to 33 of Exhibit___(EIOP-8) that the program is essential to improve the reliability and performance of critical substation equipment. By installing

condition-based monitoring devices, the Company can identify incipient faults early, optimize maintenance schedules, and prevent unanticipated equipment failures. This proactive approach reduces the risk of catastrophic failures, enhances safety, and minimizes environmental risks, such as oil spills from transformer failures. Additionally, the program supports compliance with cybersecurity standards by integrating secure remote communication and data collection systems. The replacement of aging equipment, such as Kelman monitors and analog temperature sensors, ensures continued reliability and avoids potential issues with parts availability and obsolescence.

Q. Does the Panel agree with the Company's proposals for this project?

A. Yes, in part. The Panel acknowledges the importance of condition-based monitoring for improving reliability and preventing equipment failures. However, the Panel recommends extending the replacement timelines for Qualitrol temperature monitors and Kelman monitors from 2026-2029 to 2026-2033. The

Company states on page 30 of Exhibit___(EIOP-8) that parts availability won't be an issue until after 2030. The replaced units can be used as spare parts if required.

Q. What are the Panel's specific concerns with this project?

A. Over the last three years, the Company reduced its forecast for this program from $15 million per year, to a budget of $12 million per year. Furthermore, Con Edison has only averaged actual spending of $3 million per year. The Company continuously delays the program to prioritize other initiatives, further supporting the need for an extended implementation timeframe. This adjustment ensures a balanced approach to resource allocation while addressing long-term equipment reliability and maintenance needs.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $10.0 million, $10.2 million, and $10.5 million in RY1, RY2, and RY3, respectively. Our recommended funding levels equate to downward adjustments of approximately $6.5 million, $11.2

million, and $6.9 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel's recommended budget will allow the Company to replace out of warranty equipment in a timeframe where parts are still available. The budget is approximately a 50 percent increase to the Company's historic five-year average actual spending to reflect the urgency of replacing out of warranty equipment while maintaining a similar workload to historic averages.

Distribution Sensors

Q. Please describe the Company's Distribution Sensors Program.

A. Starting on page 51 of Exhibit___(EIOP-8), the Company explains that the program combines three previously separate initiatives: Pressure Temperature and Oil Sensors; Smart Sensors for Structures; and Remote Monitoring System, or RMS, to integrate advanced sensors into the Company's infrastructure. The program monitors overhead and underground assets, such as cables,

transformers, and poles, using data-driven analytical solutions. Key components include Pressure, Temperature, and Oil, or PTO, sensors, Structure Observation Systems, or SOS, network protector sensing capabilities, smart primary splice sensors, and the new Overhead Pole-Top Sensors initiative. According to the Company, these sensors enhance visibility, operational efficiency, and public safety by detecting issues like downed wires, transformer failures, and partial discharges in cables.

Q. What capital funding does the Company request for this program in RY1, RY2, and RY3?

A. The Company requests $20.9 million, $21.6 million, and $22.2 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on pages 51 to 55 of Exhibit___(EIOP-8) that the program leverages sensing technologies to enhance situational awareness, improve system planning, and reduce operational risks. According to the Company, PTO sensors have reduced transformer failures,

while SOS systems augment physical inspections, enabling data-driven, condition-based maintenance. The Company claims that Network protector sensing capabilities and smart primary splice sensors improve grid reliability by detecting leaks, faults, and partial discharges. The Company also states that new Overhead Pole-Top Sensors provide real-time visibility of infrastructure conditions, improving response times and ensuring safety during outages. In addition, the Company argues that RMS ensures compliance with New York State Public Service Commission mandates while enhancing transformer monitoring and operational efficiency.

Q. Does the Panel agree with the Company's proposals for this program?

A. In part, the Panel agrees with the Company's approach for the existing components of the program but does not agree with the proposal for the new Pole-Top Sensors initiative. While we acknowledge the potential benefits of integrating sensors to improve reliability, safety, and operational efficiency; we believe that such initiative needs to be cost-effective

and provides quantifiable benefits to ratepayers and the Company's system. Currently, the Pole-Top Sensors technology is in its infancy, and this initiative is not cost effective.

Q. Please elaborate on your concerns with the Pole-Top Sensors initiative?

A. The Panel is concerned about the $15 million annual request for this initiative and the limited benefits expected. In response to DPS-526, the Company states that the implementation of pole-top sensor technology has just begun, a total of 100 sensors have been deployed so far as an R&D project, and that it plans to expand installation to 1,000 units beginning in April 2025. The Company also states in the response to DPS-526 that the goal of the expansion is to demonstrate additional functionality, determine IT integration requirements, and develop processes to measure the value provided by the sensors. As discussed in the response to DPS-526, the Company plans to install 10,000 sensors per year at an estimated cost of $1,500 per sensor. Moreover, the operational efficiency and savings claimed by the Company are estimated

to be $1.25 million per year with 150,000 sensors installed. We estimate that 150,000 sensors would cost $225 million at a $1,500 unit cost and would take 15 years based on the Company's installation rate of 10,000 sensors per year. Considering the sensor's 10-year lifespan, the $1.25 million operational efficiency savings would be very difficult to materialize because the Company would need to install 10,000 sensors per year to have 150,000 sensors on its system in 15 years. This initiative would not be in ratepayers' best interest because of the time and significant funding levels needed to achieve limited benefits. Thus, we recommend no funding for the Pole-Top Sensors initiative because this initiative is not cost effective, and the Company needs to develop additional functionality, IT integration requirements, and process to measure the value provided by these sensors.

Q. What is the Panel's recommended funding for the Distribution Sensors Program?

A. The Panel recommends a capital budget of $5.4

million, $5.6 million, and $5.8 million in RY1, RY2, and RY3, respectively, for the Distribution Sensors Program. Our recommended funding levels reflect no funding for the Pole-top Sensor initiative and equate to downward adjustments of approximately $15.6 million, $16.0 million, and $16.5 million for RY1, RY2, and RY3, respectively.

Energy Management System and Auxiliary System Upgrades

Q. Please describe the Company's Energy Management System (EMS) and Auxiliary System Upgrades Program.

A. Starting on page 83 of Exhibit___(EIOP-8), Con Edison explains that the program is to maintain the EMS and completely replace all ancillary systems for reliability and security improvements. The Company states that its goal is to update the EMS that oversees and manages both electric transmission and distribution over five years.

Q. What is the Company's justification and need for this program?

A. On pages 84 to 85 of Exhibit___(EIOP-8), Con

Edison justifies this program as essential to maintaining support for operational technology systems, improving reliability, enhancing operator functionality, and addressing evolving cybersecurity and compliance standards, all while supporting the Company's and New York's clean energy goals. According to the Company, by shifting to a continuous development and delivery model, the Company can adopt innovations faster, reduce testing cycles and risks, and upgrade related systems to ensure long-term resiliency and efficiency.

Q. What is the EMS Replacement Program and how does it differ from the EMS and Auxiliary System Upgrades program?

A. According to pages 88 to 89 of Exhibit___(EIOP-8), the EMS Replacement Program is a separate Con Edison initiative to fully replace the Company's existing EMS, including transitioning to a new vendor solution. Unlike the EMS and Auxiliary System Upgrades Program, which supports and maintains the current EMS SCADA system, the EMS Replacement Program focuses on evaluating, selecting, and deploying a modern

EMS solution for monitoring and controlling the Company's energy consumption and generation.

Q. How do the funding allocations for both programs compare?

A. For the EMS and Auxiliary System Upgrades Program, the Company requests $14.5 million, $4.5 million, and $5.0 million in RY1, RY2, and RY3, respectively. As for the EMS Replacement System Program, the Company requests $6.0 million, $10.0 million, and $10.0 million in RY1, RY2, and RY3, respectively.

Q. Does the Panel agree with the Company's EMS and Auxiliary System Upgrades Program proposal?

A. No. After reviewing the scope of both programs, the Panel recommends the removal of hardware upgrade funding component from the EMS and Auxiliary System Upgrades Program, as these costs more appropriately align with the objectives of the EMS Replacement Program. Considering that we are not recommending any adjustments to the Company's EMS Replacement Program, the Company's request of $8.4 million in RY1 and $0.5 million in RY3 for hardware upgrade as part of the EMS and Auxiliary System

Upgrades Program is unreasonable.

Q. What is the Panel's recommended funding for the EMS and Auxiliary Upgrades Program?

A. The adjustment results in a revised recommendation of $6.1 million in RY1, $4.5 million in RY2, and $4.5 million in RY3The funding levels we recommend equate to downward adjustments of approximately $8.4 million and $0.5 million for RY1 and RY3, respectively, and reflect our recommendation that the Commission remove the hardware upgrade component and funding from the EMS and Auxiliary System Upgrades Program.

Erosion Protection and Drainage Upgrade

Q. Please describe the Company's Erosion Protection and Drainage Upgrade Program.

A. Starting on page 93 of Exhibit___(EIOP-8), the Company explains that this program is for the installation of reinforcements and drainage systems in selected substations to protect them from erosion that may occur from extreme, deluge rain events or large storms. The Company states that detailed engineering and evaluations will be performed at each station to determined

appropriate upgrades, but typically upgrades include replacement of below grade cable trays and installation of new retaining basins.

Q. What capital funding did the Company request for this program for RY1, RY2, and RY3?

A. The Company requests $5.2 million, $5.4 million, and $5.5 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. On pages 94 to 96 of Exhibit___(EIOP-8), the Company states this program is a necessary measure to mitigate risks to substation equipment from flooding-related impacts such as equipment damage, corrosion, soil weakening, and limited accessibility during heavy precipitation events.

Q. Does the Panel agree with the Company's proposed project?

A. Yes, in part. The Panel acknowledges the importance of protecting substations from erosion and drainage issues but recommends extending the implementation timeframe to better align with long-term resilience planning.

However, in our review the Panel found that the Company has deferred funding for this program to prioritize higher-priority projects. The Company's actual expenditures under this program in 2024 was approximately $0.5 million, according to the response to DPS-739. Additionally, the proposed four-year timeline for ten substation upgrades may not be necessary given the long-term horizon of climate risks. Extending the timeline to eight years would allow for more balanced resource allocation and ensure cost-effectiveness of the Company's response to such concerns.

Q. What is the impact of extending the program from four to eight years?

A. Extending the program timeline from four to eight years would allow for more phased and manageable implementation across the ten substations identified for upgrades. According to the Company's response to DPS-357, the current plan for work anticipated for all ten substations would be addressed by 2029, with the Company beginning engineering in 2024 at certain substations, such as Rainey and Sprain Brook.

This aggressive schedule requires significant capital funding and project management resources concentrated in a relatively short period. In contrast, an eight-year implementation plan for this program would reduce the annual workload, allowing for one substation to be addressed per year. This would support better coordination with other infrastructure programs and reduce bottlenecks or delay due to contractor or internal resource constraints. It would also allow the Company to apply lessons learned from earlier substation projects to improve design and cost-efficiency in subsequent ones. An eight-year plan would still ensure progress in mitigating erosion and drainage risks, while promoting more balanced resource allocation and long-term cost-effectiveness, especially given the gradual nature of climate-related risks the program is designed to address.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends capital budgets of $2.7 million per year, in RY1, RY2, and RY3. Our recommended funding levels equate to downward

adjustments of approximately $2.5 million, $2.7 million, and $2.8 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommended funding for this program.

A. As previously stated, the Company chose to defer certain projects included in the Erosion Protection and Drainage Upgrade program to focus on higher priority initiatives. Our recommendation that the Commission extend the timeline from four to eight years will provide a more realistic and manageable schedule for completing these projects. Thus, we suggest adjusting the Company's project plan to better align with the scope of work to be completed over a period of eight years.

Non-Network Reliability

Q. Please describe the Company's Non-Network Reliability Program.

A. As stated on pages 155 to 161 of Exhibit___(EIOP-8), the Non-Network Reliability Program provides capital funding to replace poorly performing components of the Company's non-network distribution system. The primary

goals of this ongoing program are to improve source reliability, rebuild portions of the overhead secondary system, improve reliability through circuit reconfiguration and improve resiliency for significant weather events. Specific projects include, but are not limited to, cable replacement, breakaway service connector, and auto-loop reconfiguration.

Q. What capital funding did the Company request for this program for RY1, RY2, and RY3?

A. The Company requests $78.3 million, $80.1 million, and $81.0 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on page 158 of Exhibit___(EIOP-8) that the goal of this program is to improve service reliability and resilience for customers on each non-network distribution circuit who on average experience an outage more frequently than the system average.

Q. Does the Panel agree with the need for this project?

A. Yes, in part. The Panel acknowledges the

program's importance in addressing components with poor performance in the Company's non-network distribution system. However, the Panel questions the number of jobs the Company plans to complete under this program. The Company states on page 159 of Exhibit___(EIOP-8) that it has more than double the number of jobs completed annually since 2019. According to the response to DPS-373, the Company completed 423 and 888 jobs in 2019 and 2022, respectively. In the rate years, the Company projects completing approximately 1,250 jobs.

Q. Please explain the concerns the Panel has with this program.

A. There is a significant increase in forecasted work under this program. On average, from 2022 to 2024 the Company completed 870 jobs annually. The Company is now planning to complete approximately 1,250 jobs in each rate year. Moreover, the Company underspent its 2024 budget for this program and shifted funds to other higher priority work. In 2024, the Company spent approximately $36 million on this program compared to a budget of approximately $47

million.

Q. What is the Panel's recommendation for funding this program?

A. The Panel recommends a capital budget of $45.0 million, $46.1 million, and $47.1 million in RY1, RY2, and RY3, respectively. Our funding levels equate to downward adjustments of approximately $33.3 million, $34.0 million, and $34.0 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. As previously discussed, the Company underspent its budget in 2024 and over the last three years the Company completed a yearly average of 870 jobs. We calculate that the average unit cost was $52,000 per job. To determine funding for the three rate years, we multiplied the average unit cost by the average number of jobs completed over the last three year and adjusted the result for inflation.

Overhead Insulator Resiliency

Q. Please describe the Company's Overhead Insulator Resiliency Program.

A. As stated on pages 162 to 168 of Exhibit___(EIOP-8), the Company's overhead transmission lines are constructed with porcelain insulators. The Company has identified a specific type and vintage of porcelain insulator, LAPP brand porcelain insulators manufactured and installed in the 1980's, that is more likely to experience early failures and has initiated the Overhead Insulator Resiliency program to proactively replace the insulators of this type and vintage currently installed. The Company replaces the insulators with toughened glass insulators on feeders and replaces dead-end connectors as well.

Q. What capital funding does the Company request for this program?

A. The Company requests $9.2 million, $9.2 million, and $6.7 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on pages 163 to 164 of Exhibit___(EIOP-8) that insulator failures are

likely to trip transmission circuits, causing an outage from the time the line trips until the insulator is replaced and the line restored to full operation. Because of multiple insulator failures, the Company began working with Electric Power Research Institute, or EPRI, in 2008 to evaluate the cause of insulator failures, flashovers, and degradation on the overhead transmission system. EPRI determined that the 1980's era LAPP brand insulators were particularly likely to be electrically weaker than their rating. The Company determined that the risk of potential failure of these insulators and the resulting transmission circuit outage is too much of a risk to take. The Company proposes this program to proactively mitigate the potential risk.

Q. Does the Panel agree with the Company's need and proposals for this project?

A. Yes, in part. The Panel agrees with the Company that the LAPP brand insulators pose a risk to the Company's overhead transmission system. However, the Panel is concerned with the Company's ability to gain prolonged feeder

outages to perform the scope of the work.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $4.0 million, $4.5 million, and $4.5 million, in RY1, RY2, and RY3. Our recommended funding levels equate to downward adjustments of approximately $5.2 million, $4.7 million, and $2.2 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel's recommendation acknowledges the necessity of reducing risks to the overhead transmission system. While the Panel supports the program's overall objectives, the Panel believes the Company will continue to struggle to gain feeder outages to do the scope of the work. As stated in the response to DPS-398, the Company has been able to complete two feeders since 2020 due to the need for prolonged feeder outages to perform the scope of work. For the rate years, the Company proposes to complete four feeders. This is unreasonable because we expect feeder outage constraints to continue.

Since feeder outages rely on a variety of factors such as scheduling constraints, system load fluctuations, permit and regulatory requirements, and resource allocations, the Panel recommends that the Commission fund only two of the four proposed feeders to reflect the Company's recent historical trend in performing this work.

Primary Feeder Reliability

Q. Please describe the Company's Primary Feeder Reliability Program.

A. Starting on page 189 of Exhibit___(EIOP-8), the Company explains that the program is intended to ensure the reliability and resiliency of the Company's network and non-network load areas through three key strategies: removing Paper Insulated Lead Covered (PILC) cable, installing new interrupters in existing and new structures, and splitting and extending feeders. The program targets improvements such as replacing manual switches with interrupters, proactively replacing PILC cable sections, and de-loading heavily loaded feeders to maintain the Network Resiliency Index (NRI). The NRI measures the

likelihood of cascading feeder outages during extreme weather events, with a goal of keeping all networks below an NRI of 1.0 and maintaining reliability as the TV_ design basis increases by one degree Fahrenheit by 2030.

Q. What capital funding does the Company request for this program?

A. The Company requests $65.3 million, $66.8 million, and $65.9 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification for this program?

A. The Company states on pages 190 to 191 of Exhibit___(EIOP-8) that the Company uses NRI to gauge the reliability and resiliency of networks on the Company's distribution system. A factor that impacts the NRI is the TV, which is a nonuniformly weighted rolling average of three days' temperature data. The Company recently modified its NRI model to account for climate change, and it forecasts that the TV will increase by one degree Fahrenheit by 2030. The Company explains that the work performed as part of this program, such as Paper Insulated Lead

Cable replacement, the installation of sectionalizing switches, and establishing new distribution feeders, reduces the risk and the likelihood of equipment failure and allows for quicker restoration times, both of which impact a network's NRI.

Q. Does the Panel agree with the Company's project?

A. Yes, in part. The Panel acknowledges the importance of maintaining feeder reliability and addressing aging infrastructure. However, we cannot adequately assess the Company's assumption on how the increased TV will impact the Company's electric distribution networks. The Company could not demonstrate how the NRI values will change in 2026 and beyond. In its response to DPS-514, the Company states that it would be laborious to anticipate the future state of the distribution system and that building a forecasted NRI model would be unlikely to provide meaningful results due to the challenges of predicting many variables accurately. Considering that the Company has not developed an NRI forecast, it is unclear how the Company was able to develop a reasonable

investment plan for the program.

Q. What are the Panel's specific concerns with this program?

A. The Panel notes that the Company has deferred half of the funding for this program, approximately $50 million in the last two years, to prioritize other initiatives. Despite this significant underspend, averaging $28 million annually over the past three years and an underspend of 50 percent in 2024, the Company reports that its NRI target of 1.0 is still being met. Notably, in the Company's response to DPS-514, none of the 65 second contingency networks exceed the 1.0 threshold. Additionally, there are 45 of the 65 second contingency networks with an NRI of 0.1 or below. This suggests that the deferred spending has had little to no impact on the current system performance, raising questions about the urgency and prioritization of the program's funding.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $33

million in each of RY1, RY2, and RY3. Our recommended funding levels equate to downward adjustments of approximately $32.3 million, $33.8 million, and $32.9 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. First, current system performance remains robust. Despite the Company deferring approximately $50 million in capital funding over the past two years, the NRI target of 1.0 continues to be met. This indicates that reliability has not suffered even with the reduction of program funding. Second, the Company has not developed a forecasted NRI model, citing that projection would be laborious and unlikely to provide meaningful results due to unpredictable variables. Without such forecasts, it is unclear how the Company determined that the requested investment levels were necessary to meet future system needs under a one degree Fahrenheit increase in TV by 2030. Finally, the Panel recognizes that the Company has established a new Primary Feeder Resiliency

Program, which now serves as a key component of its climate adaptation and system reliability strategy. This program, which is discussed under the storm hardening and resiliency section of our testimony, includes several critical features that enhance network resilience.

Protection, Control and Automation

Q. Please describe the Company's Protection, Control and Automation Program.

A. Starting on page 129 of the EIOP initial testimony, the Company states that this program will upgrade the protection, automation, and control at substations to modern systems that are more weather-hardened, more reliable, and provide greater operational visibility. The Company also states on page 129 of the EIOP initial testimony, that this program will incorporate equipment upgrades and programs, some of which were separate programs in the past: Data Diodes; the Remote Terminal Unit or RTU Upgrades Program; Category Alarm Panel Program; Transmission Station Metering and SCADA Updates Program; the 138 kV Disturbance Monitoring Program; the Contact-Making Voltmeter

or CMVM Upgrades Program; and the Interface Device Installation Program (previously known as the Control Cable Upgrade Program).

Q. Does the Panel have any concerns with Protection, Control and Automation Program?

A. Yes, while we agree with the Company's proposal for data diode installations, we have concerns with RTU program, CMVM program, and Interface Device Installation Program upgrades listed above.

Q. Please describe the Company's Data Diode sub-program.

A. As stated on page 196 of Exhibit___(EIOP-8), the data diodes will allow for remote data retrieval from devices on the substation network and prevent data leakage. This program will be accomplished through three phases: Phase 1 includes data diode installation to facilitate North American Electric Reliability Corporation (NERC)compliant data retrieval; Phase 2 includes fiber network installation through each substation; and Phase 3, which usually is completed concurrently with Phase 2, includes the connection between the relay and switch.

Per the Company's response to DPS-515, the Company has completed over 80 Phase 1 installations from 2022 through March of 2025. The remaining 16 to be completed in 2025 and 2026. An average of nine Phase 2 & 3 installations have been planned annually from 2026 through 2034.

Q. What are the Panel's specific concerns with the RTU and Alarm Panel sub-program?

A. On page 200 of Exhibit___(EIOP-8), the Company shows its plan to ramp up replacement of RTU and alarm panel units from seven in 2026 to 22 and 19 units in both 2027 and 2028. According to the Company's response to DPS-515, out of the 107 substations, 48 were identified on the priority list, and five units were classified as high priorities for replacement in RY1. The remaining units are lower in priority. Considering this information, the Panel concludes that it is appropriate to recommend funding based on priority levels of the units. The estimated cost, based on Company's response to DPS-515, is $0.7 million per RTU and alarm panel, which results in a need of $3.5 million

to replace the five high priority units in RY1. While the Company's broader plan contemplates a more aggressive replacement schedule in later years, the Panel believes a more gradual approach reflecting Con Edison's replacement priority is warranted at this time and we recommend the same level of funding in RY2 and RY3.

Q. Please describe your concerns with the CMVM Upgrades.

A. The Company did not provide any data to support this program in its testimony, nor in its response to DPS-515. Specifically, the Company did not provide any historical work units, actual spending history, documented work failures, or a defined prioritization or schedule for the upgrades. Therefore, Con Edison has not provided a basis for this program or the requested funding, and we recommend the Commission reject the Company's request to fund this program.

Q. Please describe your concerns with the Interface Device Installation sub-program, previously known as the Control Cable Upgrade Program.

A. In Con Edison's response to DPS-515, it provides a priority list of substations based on number of corrective maintenance work orders and time spent working on those issues. One substation received a high priority score of 86 out of 100. Five substations scored between 40 and 60, while the remaining are considered low priority. Based on the Company's priority list provided in response to DPS-515, the Panel recommends an adjustment of two units per year, at an estimated cost of approximately $1 million annually.

Q. What capital funding did the Company request for the Protection, Control and Automation Program for RY1, RY2, and RY3?

A. The Company requests $26.9 million, $57.9 million, and $58.0 million in RY1, RY2, and RY3, respectively.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $24.5 million, $25.1 million, and $25.6 million in RY1, RY2, and RY3. Our recommended funding levels equate to downward adjustments of

approximately $2.4 million, $32.8 million, and $32.3 million for RY1, RY2, and RY3, respectively. The Panel's recommendation is based on a prioritized allocation of funds across key components of the whole program. This includes approximately $20 million for the Data Diode sub-program, $3.5 million for the RTU and Alarm Panel sub-program to support the replacement of five high-priority units, and $1 million for the Interface Device Installation sub-program to support two targeted installations per year. These amounts reflect the Panel's focus on funding activities that are adequately supported by the Company, including presence of clear prioritization, scope, and justification. The recommended funding levels in RY2 and RY3 allow for expected inflation and modest support for other sub-programs, while maintaining the overall cost discipline of the approach.

Substation Enclosure Upgrade Resiliency

Q. Please describe the Company's Substation Enclosure Upgrade Resiliency Program.

A. As stated on pages 249 to 255 of

Exhibit___(EIOP-8), this program upgrades selected outdoor enclosures throughout the Company's system, providing weatherproof canopies for switchgear cubicles and relay cabinets. This work is often supplemented with sealing existing metal enclosures, and, in some cases, replacing and refurbishing cubicle doors, reinforcing structural supports and related steel/sheet metal work. The Company states that the canopies are a long-term solution to protect relay cabinets and switchgear cubicles from inclement weather and enhance the reliability of the electric system.

Q. What capital funding did the Company request for this program?

A. The Company requests $1.4 million for each of RY1, RY2, and RY3.

Q. What is the Company's justification for this program?

A. The Company states on pages 250 to 252 of Exhibit___(EIOP-8) that the investments planned for the Substation Enclosure Upgrades program are focused on preventing potential water damage to switchgear and relays during storms or

periods of heavy precipitation, increasing the ability of the transmission system to withstand these climate change-driven weather events.

Q. Does the Panel agree with the Company's proposals for this project?

A. Yes, in part. The Panel acknowledges the program's importance in addressing vulnerabilities to climate-driven hazards and improving system reliability. However, the Panel notes concern about historical program implementation activities. Specifically, as indicated in the response to DPS-399, the Company completed three enclosures compared to eight that were budgeted from 2021 to 2024.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $0.7 million for each of RY1, RY2, and RY3. Our recommended funding levels equate to downward adjustments of approximately $0.7 million in RY1, RY2, and RY3.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel's recommendation acknowledges the

necessity of hardening substations to address climate-driven vulnerabilities. However, in the last four years, the Company completed three enclosures, which is less than half of the eight enclosures that were budgeted for this period. The Company claims in response to DPS-399 that this was due to challenges of scheduling equipment outages as well as resource availability. Based on recent historical program activities, we expect these challenges to continue and recommend the completion of one enclosure in each rate year at a unit cost of $0.7 million.

Underground Secondary Reliability

Q. Please describe the Company's Underground Secondary Reliability Program.

A. On pages 295 to 298 of Exhibit___(EIOP-8), the Company describes that the program provides capital funding to reinforce the secondary network by replacing and upgrading underground structures, conduits, transformers, and cables. The program addresses both system design and public safety through different subprograms: System Design; Secondary Rebuild/Vintage Cable

Replacement; Secondary Service; and Emergent Services.

Q. What capital funding does the Company request for this program?

A. The Company requests $35.7 million, $36.9 million, and $37.9 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on pages 298 and 299 of Exhibit___(EIOP-8) that the nature of the secondary system often makes it more difficult to identify damage and issues before they result in an outage or hazardous event. The Company adds that this program focuses on proactive remediation through the replacement of underground network equipment, with priority based on performance and defect conditions.

Q. Does the Panel agree with the Company's proposals for this project?

A. In part. While we generally support the Company's goal of improving reliability and public safety, we are concerned with Con Edison's historical work activities and the

Company's inability to track performance and expenditures effectively at the subprogram level.

Q. What are the Panel's specific concerns with this program?

A. The Panel is concerned that the Company often completes fewer units than budgeted. As indicated in the response to DPS-400, Con Edison has not completed budgeted units for this program in recent years, and the Company is unable to track and explain variances at a subprogram level. For example, the Company states in the response to DPS-400 that actual expenditures for Cut and Rack and UG Secondary Mains Cable under the Non-Visual Detection (Non-VDC) portion of the Emergent Services subprogram are not directly tracked due to the way these tasks are designed and executed. The Company also states in its response to DPS-400 that since remediations are not standardized, the work is typically performed concurrently with other subprograms work. The Company claims that this makes it difficult to isolate and attribute specific costs or units to each subprogram.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $21.1 million, $21.6 million, and $22.1 million in RY1, RY2, and RY3, respectively. Our recommended funding levels equate to downward adjustments of approximately $14.6 million, $15.3 million, and $15.8 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. In the last three years, from 2022 through 2024, the Company's actual expenditures for this program annually average approximately $20 million. In contrast, the Company requests in this proceeding nearly double that amount per year for the upcoming rate years. Historical performance shows that the Company often completes fewer units than budgeted largely due to shifting operational priorities. Additionally, the Company fails to track and explain variances at a subprogram level. Most costs are concentrated in the Rebuild subprogram, which has not met targeted units in

recent years. The lack of discrete tracking for activities under the Non-VDC remediation further complicates the ability to assess productivity and justify the increase funding request. Therefore, the Panel believes that the Company's request to significantly increase the program funding levels is not justified. Instead, we recommend funding that reflects recent performance levels and aim to align funding with realistic delivery capacity while encouraging improved planning and tracking practices.

Replacement

Q. Please describe the Company's replacement category.

A. As stated on page 137 of the EIOP initial testimony, the replacement category includes programs designed to replace failed equipment of the Company's electric system.

Q. Does the Panel recommend any adjustments to the replacement category?

A. Yes, we recommend adjustments to Overhead Emergency Response, Secondary Open Mains, Service Replacements, Streetlights, Targeted

Direct Buried Cable Replacement, and Transformer Installation programs.

Overhead Emergency Response

Q. Please describe the Company's Overhead Emergency Response Program.

A. Starting on page 12 of Exhibit___(EIOP-9), the Company explains that the program's focus is to replace or repair equipment that has failed or is at imminent risk of failure to maintain uninterrupted service and ensure system reliability. The program addresses overhead transformers, underground transformers, poles, towers, fixtures, overhead and underground primary and secondary sections, overhead services, streetlight services, and aerial cable sections. The volume of work is based on historical averages from 2019 to 2023, but actual units repaired vary depending on factors such as weather conditions, storm damage, and inspection findings.

Q. What capital funding does the Company request for this program?

A. The Company requests $77.0 million, $86.3 million, and $88.7 million in RY1, RY2, and RY3,

respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on page 13 of Exhibit___(EIOP-9), that the program is essential to maintain system reliability and meet its reliability performance metrics, specifically the System Average Interruption Frequency Index, or SAIFI, and the Customer Average Interruption Duration Index, or CAIDI. The program addresses equipment failures that disrupt service and pose safety hazards. Spending is influenced by severe weather events, such as tropical storms and nor'easters, and rising costs for materials, labor, and traffic management.

Q. Does the Panel agree with the Company's program?

A. Yes, in part. The Panel acknowledges the importance of the program in responding to emergency repairs and maintaining system reliability. However, we are concerned about the Company's fluctuating five-year historical spending and the inclusion of a five percent inflation factor in the forecasted budget, which

we do not believe accurately reflects future spending trends.

Q. What are the Panel's specific concerns with this program?

A. There is significant variability in spending over the past five years and we believe that funding should be based on a historical average to promote efficient and prudent resource allocation. The Company's response to DPS-266 indicates that its average annual spending is approximately $74.2 million over the past three years (2022 to 2024) and about $75.5 million over the past five years (2020 to 2024). The Company's requested funding exceeds historical spending averages and includes a five percent inflation factor. The requested funding levels vary to accommodate the unpredictable nature of overhead emergency events, and there is no guarantee that the funding required to maintain the program will increase each rate year. This is evidenced by the actual spending between years 2020 and 2021 that decreased from $90 million to $64 million, and between years 2022 and 2023 that decreased from $85 million to $65

million. Further, the Panel does not agree with the Company's use of a five percent inflation factor in the forecasted 2026 to 2028 budget levels. Staff Witness Daniel Gadomski provided us with inflation rates of 2.40 percent from 2026 to 2027 and 2.20 percent from 2027 to 2028.

Q. What funding does the Panel recommend for this program?

A. The Panel recommends a capital budget of $77.0 million for each of RY1, RY2, and RY3. Our recommended funding levels equate to downward adjustments of approximately $9.3 million and $11.7 million for RY2 and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The funding requested in RY1 of $77 million seems reasonable as it aligns with both the historical three-year and five-year averages of approximately $74 million and $75.5 million, respectively. To ensure consistency, the Panel recommends RY2 and RY3 funding of $77 million, which accounts for the historical average amount of work completed in recent years.

Secondary Open Mains

Q. Please describe the Company's Secondary Open Mains Program.

A. Starting on page 20 of Exhibit___(EIOP-9), Con Edison explains that the Secondary Open Mains Program is designed to evaluate and prioritize the remediation of failed secondary cables in the network system. The program utilizes analytical tools such as Poly Voltage Load flow (PVL) ARM Work Management, and the Asset Management Prioritization Platform (AMPP) to simulate the impact of failed mains and prioritize work based on system conditions. The program aims to enhance the safety and reliability of the secondary grid by addressing open mains that can cause overloads, low voltage conditions, and service interruptions.

Q. What capital funding did the Company request for this program?

A. The Company requests $181.0 million, $190.1 million, and $199.6 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company states on pages 20 to 22 of

Exhibit___(EIOP-9) that secondary open mains can cause local overloads, low voltage conditions, and equipment damage, which threaten system reliability and safety. The Company states it is proactively analyzing open mains to mitigate these risks and avoid cascading failures. The program prioritizes high-impact cases while addressing a growing backlog of lower-priority work.

Q. Does the Panel agree with the Company's project proposals?

A. Yes, in part. The Panel acknowledges the importance of addressing open mains to maintain system reliability and safety. However, we have concerns regarding the Company's forecasted funding calculation, which reflects increased unit costs and includes a five percent inflation rate.

Q. What are the Panel's specific concerns?

A. The Panel is concerned with the Company's forecasted funding calculation, particularly the significant increase in unit costs and the inflation rate used. According to the Company's response to DPS-411, from 2019 to 2023, the

Company has spent an average of $140 million per year to complete approximately 3,750 units annually which equates to about $37,000 per unit. However, according to the same IR response, from 2026 to 2028, the Company projects an average of $190 million per year to complete an average of 3,700 units which equates to about $51,000 per unit or an increase of approximately 36 percent in unit cost from the historic level. This is unreasonable because the Company did not provide adequate justification for the significant increase.

Q. Does the Panel have additional concerns with the program?

A. Yes. The Company states in response to DPS-411 that it includes a five percent increase in unit cost year over year. The Panel does not agree with using five percent, which is higher than the inflation rate provided to us by Staff Witness Daniel Gadomski.

Q. What is the Panel’s recommended funding for this program?

A. The Panel recommends a capital budget of $147.8 million, $151.3 million, and $154.7 million in

RY1, RY2, and RY3, respectively. Our recommended funding levels equate to downward adjustments of approximately $33.2 million, $38.7 million, and $44.9 million for RY1, RY2, and RY3, respectively.

Q. Please explain how the Panel derived the funding recommendation for the Secondary Open Mains Program.

A. The Panel's recommendation is based on applying Staff Witness Gadomski's calculated inflation rates to the Company's five-year average historical spending of approximately $140 million per year. We believe that our recommended funding levels are sufficient to address the backlog of high-priority cases while maintaining system performance based on the average unit costs and amount of work completed in recent years.

Service Replacements

Q. Please describe the Company's Service Replacements Program.

A. Starting on page 26 of Exhibit___(EIOP-9), the Company states that this program involves removing temporary service connections and

completing permanent repairs, including installing new conduits when necessary. The Company adds that the program is critical in managing the backlog of temporary services, with pending bridges of 7,929 at the start of 2024.

Q. What capital funding did the Company request for this program?

A. The Company requests $80.6 million, $83.6 million, and $85.9 million in RY1, RY2, and RY3, respectively.

Q. What is Con Edison's justification and need for the Service Replacements program?

A. As discussed on page 27 of Exhibit___(EIOP-9) Con Edison installs a temporary service when field conditions or other issues prevent the Company from making a permanent repair to a customer's electric service connection. The Company must perform permanent repairs and replace temporary service connections with permanent service connections within appropriate timeframes. The Company requests an additional $6 million annually to target backlog of bridge connections according to DPS-434.

Q. Does the Panel agree with the Company's

proposals for this project?

A. Yes, in part. The Panel acknowledges the importance of addressing temporary service with permanent repairs to maintain system reliability and safety. However, the Panel has concerns with the Company's capability to complete more work as well as the immediate need for the additional funding requested by Con Edison to tackle the backlog of work requests.

Q. Please elaborate on the Panel's specific concerns.

A. On pages 26 and 27 of Exhibit___(EIOP-9), the Company provides the number of repairs completed from 2019 through 2023, and the forecasted repairs for 2024 through 2028. On average, the Company completed 6,360 units annually from 2019 through 2023. For RY1 through RY3, the Company plans to complete approximately 7,600 units in each rate year. This represents a significant increase above the actual amount of work that the Company has been able to perform in recent years. Moreover, the increase in program scope is resulting in a significant impact on the program's funding. As provided in the response

to DPS-434, the Company's five-year historical average of $68.2 million, from 2020 to 2024, is approximately $12 million less than the RY1 request and approximately $18 million less than the RY3 request. In the response to this IR, the Company attributes the increase in forecasted spending for the rate years to two main drivers, a request of an additional $6 million annually to target backlog of repairs and a three percent escalation factor to address rising equipment costs. Both the $6 million increase and the three percent inflation factor are not justified by the Company. Thus, we recommend the Commission align the program's funding to historical trends and applying Staff Witness Gadomski's calculated inflation rates to the five-year actual historical spending.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $73.0 million, $74.8 million, and $76.4 million per year, in RY1, RY2, and RY3, respectively. Our recommended funding levels are downward adjustments of approximately $7.6 million, $8.8

million, and $9.5 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. We acknowledge the necessity of system reliability and reducing safety risk to both the public and employees associated with failing equipment. While we support the overall objective of the Company's program, we believe that our adjusted funding levels are reasonable because they are in-line with the Company's five-year historical actual spending and unit completion trend from 2020 to 2024 as previously discussed. By aligning funding with historical average, we aim to set budget levels that reflect the Company's recent actual and demonstrated spending and performance trends for the program.

Streetlights

Q. Please describe the Company's Streetlights Program.

A. Starting on page 31 of Exhibit___(EIOP-9), Con Edison explains that the program focuses on replacing secondary cables and associated

conduit serving streetlights, which are essential for public safety, using a prioritized, data-driven approach based on field failures, age, and emergent requests from the New York City Department of Transportation and Westchester Municipalities.

Q. What capital funding did the Company request for this program?

A. The Company requests $28.1 million, $29.2 million, and $30.0 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification for this program?

A. As discussed on page 31 to 32 of Exhibit___(EIOP-9), this program is mandated by the Commission and requires the Company to repair 90 percent of all streetlights that have no current within 90 days of notification during the winter period and 80 percent of all incoming streetlight that have no current within 45 days during the summer period.

Q. Does the Panel agree with the Company's proposals for this project?

A. Yes, in part. The Panel acknowledges the

importance of the program as a safety conduit for customers. However, the Panel has an issue regarding the calculation of forecasted average unit costs beginning in RY1. The Company's five-year average unit cost is approximately $17,000 from 2020 to 2024, during which the Company completed an average of 1,450 units per year, and this equates to approximately $25 million annually. Based on the response to DPS-433, the Company's annual forecasted unit costs are based on 2024's unit cost of $18,373. This is not reasonable as the Company only relies on one year of historical data. Instead, the program's funding should be based on historical trends that cover multiple years. Therefore, we recommend the past five years, 2020 to 2024.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $26.4 million, $27.0 million and $27.6 million in RY1, RY2, and RY3, respectively. Our recommended funding levels equate to downward adjustments of approximately $1.7 million, $2.1 million, and $2.4 million for RY1, RY2, and RY3,

respectively.

Q. How did the Panel derive its recommended funding for this program?

A. The Panel's recommendation is based on the Company's historical program performance and spending trends. As previously mentioned, over the past five years, the Company completed an average of 1,450 units at a unit cost of per year at an average unit cost of $17,000, which equates in an average actual spending of approximately $25 million annually. Applying the inflation rate provided by Staff witness Gadomski to this amount results in the recommended funding levels for this program.

Targeted Direct Buried Cable Replacement

Q. Please describe the Company's Targeted Direct Buried Cable Replacement Program.

A. On page 35 of Exhibit___(EIOP-9), the Company explains that the program improves the reliability of supply to Underground Residential Distribution (URD) customers by replacing Direct Buried Cable (DBC) with higher quality jacketed cable installed in conduit.

Q. What capital funding did the Company request for

this program?

A. The Company requests $12 million per year in RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. The Company states on page 36 of Exhibit___(EIOP-9) that it takes an extended amount of time to locate, excavate and repair DBC and that simply replacing the faulted section means that the remaining portion may still fail again in the future. The Company asserts that replacing the entire faulted sections of a cable installed in conduit with new conduit sections will make it less likely for those sections to fail again in the future.

Q. What are the Panel's specific concerns with this program?

A. We are concerned with the effectiveness of this program. While we understand that it takes longer to repair a failure that occurs in a DBC compared to one installed in a conduit, the number of DBC failures have not been significant. As noted on page 36 of Exhibit___(EIOP-9), there were approximately 150

outages and 4,500 interruption per year in Staten Island, and approximately 60 outages and 1,100 interruptions per year in Bronx and Westchester from 2019 to 2023. However, according to the Company's response to DPS-442, SAIFI and CAIDI metrics are not tracked to evaluate improvements following DBC replacements. While prioritization efforts focus on the worst-performing DBC segments, there is no SAIFI or CAIDI data specific to those DBC sections. The Company should analyze its circuit data to measure improvements in the Targeted Direct Buried Cable Replacement Program.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $8 million per year, in RY1, RY2, and RY3. Our recommended funding levels equate to downward adjustments of approximately $4 million per year for RY1, RY2, and RY3.

Q. Please explain the rationale for the Panel's recommendation.

A. According to the Company's response to DPS-442,

the forecasted budget from 2025 through 2029 were based on 2023 expenditure. However, historical spending has averaged approximately $7 million annually over the last five years. In light of the five-year average actual expenditures and work units completed in recent years, the proposed funding levels for the rate years appear to be unreasonable.

Transformer Installation

Q. Please describe the Company's Transformer Installation Program.

A. According to pages 39 to 42 of Exhibit___(EIOP-9), this program funds the replacement of electrical distribution equipment that is found to be defective. The equipment replaced under this program is primarily underground network transformers, and the prioritization of removal is dependent upon risk of failure.

Q. What capital funding did the Company request for this program?

A. The Company requests $59.8 million, $61.9 million, and $63.5 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification for the

Transformer Installation Program?

A. As explained on page 40 of Exhibit___(EIOP-9), the replacement of failed or failing transformers is an important function for ensuring public safety and overall system reliability. The reliability of the network system is dependent on the integrity of network transformers since their failures can contribute to the loss of multiple feeders in the same network, especially at times of high load, which can result in local voltage problems and customer outages.

Q. Does the Panel agree with the Company's proposals for this project?

A. Yes, in part. While the Panel agrees with the Company that replacing failed or failing transformers is critical for maintaining public safety and overall system reliability, the Panel recommends a more measured funding approach, based on historical program costs and job completions.

Q. What are the Panel's specific concerns with this program?

A. According to the Company's response to DPS-492,

transformer failure rates and feeder outages caused by transformers remain low. Most failures are associated with transformer bushings rather than internal transformer failures. Approximately 13 percent of the transformers prioritized for replacement are classified as high priority (Priority 1), indicating either high loading or limited redundancy, while a large proportion are lower priority (Priority 3, 4 or 5). The data does not show that an increase in funding is necessary.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $50 million per year, in RY1, RY2, and RY3. Our recommended funding levels equate to downward adjustments of approximately $9.8 million, $11.9 million, and $13.5 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel's recommendation is based on a review of the Company's historical actual expenditures

and completed work levels for this program. According to the Company's response to DPS-492, from 2019 through 2023 this program averaged approximately $45.8 million per year in actual costs, and Con Edison completed about 984 jobs annually. A $50 million annual budget is appropriate to maintain historical work levels. Additionally, the Panel notes from the Company's response to DPS-492 that transformer failures have remained relatively low in the last five years, an average of 22 internal failures per year, indicating that a substantial increase in budget is not warranted at this time.

Operation and Maintenance Expenses

Q. Please summarize the Operation & Maintenance (O&M) expense portion of the Company's EIOP testimony this Panel reviewed.

A. In Exhibit___(EIOP-2), the Company presents its proposed O&M program changes for electric plant. For electric operations, the proposal includes: an increase of $31.2 million above the Historic Test Year, or the period of October 1, 2023, through September 30, 2024, in the Rate Year; an

increase of $16.6 million above the Rate Year request in Rate Year 2; and a decrease of $20.3 million below the Rate Year 2 request in Rate Year 3. Of this proposal, the ERRPM Panel directly reviewed or coordinated with SEIOP on the review of the approximately $7 million increase in RY1, $5.6 million increase in RY2, and $2 million increase in RY3. The O&M program changes that the Panel reviewed include automated roster call out system, or ARCOS, electric operations headcount, supervisory control and data acquisition, or SCADA, and the Storm Response Center.

Q. Does the Panel provide any recommendations regarding the Company's proposed Operation & Maintenance, or O&M, program changes for the Rate Year?

A. Yes. We recommend adjustments to ARCOS, Storm Response Center, and electric operations staffing additions.

ARCOS

Q. Please describe ARCOS.

A. Starting on page 19 of Exhibit___(EIOP-4), Con Edison explains that ARCOS is a cloud-based SaaS

solution used to manage crew mobilizations, overtime and work schedules, with built-in logic to ensure compliance with union rules. The Company states that its ability to quickly communicate via phone, text, email, and mobile app has significantly reduced response times during emergencies and storm events.

Q. Did Con Edison request an increase for this program?

A. Yes, the Company requests an incremental O&M for this program of $1.1 million in each rate year.

Q. What is the Company's justification and need for this program?

A. The Company states on page 19 of Exhibit___(EIOP-4) that the ARCOS program is a critical tool for managing storm-related operations by serving as the primary database for employees' System Emergency Assignments. The Company also states that it enables efficient identification and coordination of storm roles, supports rotating/on-call scheduling, and facilitates rapid mobilization and communication through its integration with the callout system and mass communication

capabilities for various operational needs.

Q. Is ARCOS a new program?

A. No. ARCOS is an existing program and, as stated in the response to DPS-742, it is currently funded under the Engineering and Services category of electric operations. However, in the current rate filing, ARCOS would be a separate electric operations line-item.

Q. Does the Panel agree with the Company's approach to separate ARCOS from the Engineering and Services category?

A. No.

Q. Please explain the Panel's concerns with the Company's proposal.

A. While the Panel supports the program's overall objectives and acknowledges the necessity of software tools to manage personnel, we do not see a need to separate ARCOS expenditures from the Engineering and Services category. In the response to DPS-820, the Company indicates that ARCOS expenditures were approximately $1.12 million and $1.17 million in 2024 and 2025, respectively. These expenditures are in line with the Company's O&M request for each rate

year. Considering that the Panel is not recommending any specific adjustments to the Engineering and Services category and that the Company's requested expenditures for ARCOS align with actual expenditures in 2024 and 2025, the Panel recommends that the Company continues to fund ARCOS under the Engineering and Services category. Therefore, the Panel recommends rejecting the Company's proposal to separate ARCOS from engineering and Services and we recommend that the Commission reject the Company's proposed incremental $1.1 million program funding for each rate year.

Storm Response Center

Q. What O&M expenditure did the Company request for the proposed Storm Response Center for RY1?

A. The Company requests an O&M expense of $372,000 in RY1.

Q. What is the Company's justification and need for this project?

A. The Company states in response to DPS-299 the O&M expense is for property maintenance, security, and permits directly associated with the Storm Response Center project.

Q. What does the Panel recommend for this project?

A. The Panel recommend that the Commission reject the requested the O&M expenses.

Q. Please explain the rationale for the Panel's recommendation.

A. As we previously stated in our testimony, the Panel recommend the Commission reject funding of the Storm Response Center project. Therefore, all associated O&M expenses should be eliminated.

Full Time Equivalent Employees

Q. Were there any additional O&M expenses that the Panel reviewed?

A. Yes. The Panel also reviewed the proposed full time equivalent, or FTE, employees proposed by the Company under electric operations headcount.

Q. Please describe the Company's request for additional FTE employees.

A. The Company proposes hiring 585 incremental FTEs, with 300 to be hired in RY1 and 285 to be hired in RY2. On page 73 of the EIOP initial testimony the Company identifies these FTEs as General Utility Workers (GUWs).

Q. Were any other Staff Panels involved in the

review of this incremental FTE request?

A. Yes, SEIOP also reviewed this incremental request.

Q. Please describe the Company's GUWs staffing request for Electric Operations.

A. Starting on page 73 of the EIOP initial testimony, the Company explains that the number of GUW FTEs needed is based on the scope of the capital plan. The Company developed a model using historical data of labor needs for capital work.

Q. What is the Company's justification and need for the additional 585 GUWs it requests for Electric Operations?

A. The Company states starting on page 73 of the EIOP's initial testimony that it requires additional personnel due to its proposed expansion of capital programs to strengthen its electric distribution system, reduce the damage sustained during severe weather events, lower the number of customers impacted by outages, and improve the Company's ability to repair damage and restore service following extreme weather events.

Q. What is the Panel's position regarding these incremental FTEs?

A. The Panel and SEIOP recommend the hiring of three incremental FTEs in the Rate Year. The basis for this recommendation is discussed in the SEIOP testimony.

Wildfires

Q. What does the Company propose concerning wildfire risk and response?

A. On page 184 of the EIOP initial testimony, the Company states it proposes to defer costs associated with wildfire response. The Company further states that "Current risks and costs in the Company's service are not defined and deferral will prevent the Company from having to shift funding from other programs in the event of a significant wildfire event."

Q. What is the Company's justification and need for this proposed deferral?

A. Starting on page 182 of the EIOP initial testimony, the Company states it has seen wildfires approaching its service territory in recent years with significant wildfires in New York and New Jersey. Con Edison is concerned

that there is potential for damage to its electric delivery system. The Company also states there is an opportunity now to discuss changes to both Company and regulatory policy so it is prepared should a wildfire event occur that needs decisive action.

Q. Does the Panel agree with the Company's proposal?

A. No. While the Panel understands the risks of wildfires and the potential damage they can cause, as stated by the Company in response to DPS-767, the risk of wildfires remains low.

Q. Has the Company had any incidents or losses related to wildfires?

A. No. The Company states in response to DPS-767, that there has been no incidents or losses related to wildfires in its service territory. The Company's analysis of potential cost impacts was limited to a few recent wildfire reports, in the service territory of Orange and Rockland Utilities, Inc., ranging from $2,500 to $19 million.

Q. Has the Company analyzed its own system to determine potential cost impacts?

A. No. The Company did not analyze its own system to determine potential cost impacts.

Q. Does the Company have the ability to file a petition with the Commission to seek authority for deferral accounting treatment?

A. Yes. The Company may petition the Commission for deferral accounting authority in the event of a wildfire. The Company states, in response to DPS-767 that it will be developing a Wildfire Response Plan, proceduralizing notification with the fire departments, and exploring the feasibility of Preemptive Safety Power Shutoffs, which the Panel agrees are more appropriate.

Q. What is the Panel's recommendation regarding the Company's proposal for a deferral for wildfire risk?

A. Considering that the risk of wildfires remains low, the Company has not analyzed its system to determine potential cost impacts, and that in the event of a wildfire, Con Edison may seek authority for deferral accounting treatment from the Commission, the Panel recommends the Commission reject the Company's proposal. The Staff Accounting Panel provides additional

discussion about the wildfire deferral.

Storm Allowance

Q. What is a Major Storm Allowance?

A. Storm restoration must be carried out for continuity of electric service, safety, and reliability. Restoration efforts after a major storm occurs, and the associated costs, can be significant and cannot be adequately forecasted in advance. A Major Storm Reserve is an accounting mechanism that allows a utility to collect a storm allowance through its rates for storm restoration efforts but defer the variance between that allowance and restoration costs actually incurred. That variance, either a regulatory asset or a regulatory liability, can be collected from or returned to customers as part of a utility's future rate filing. Department Staff review storm costs charged to the Major Storm Reserve to verify that the costs are accurate and in compliance with the Order which allows the utility to use reserve accounting for major storms.

Q. What is the current definition for a major storm?

A. As defined in 16 NYCRR Section 97.1(c), a "major storm is a period of adverse weather during which service interruptions affect at least 10 percent of the customers in an operating area and/or result in customers being without electric service for durations of at least 24 hours." It should be noted that 16 NYCRR Section 97.5 requires utilities to provide interruption information separated into ten cause codes. Major storms are cause code number one. These cause codes are used to track reliability performance and compare individual utility performance both including and excluding the impacts of major storms.

Q. Panel, what are the deductibles for pre-staging and mobilization costs under the current rate plan?

A. There are two deductibles related to pre-staging and mobilization costs. For each event, there is a minimum deductible of $350,000 per event. Costs between $350,000 and $4.5 million may be charged to the major storm reserve. For storms in excess of $4.5 million, 85 percent of costs are charged to the major storm reserve with the

remaining 15 percent charged to O&M, unless the event meets the criteria for a Tropical Cyclone Event. This is defined under the 2023 Rate Order in the Joint Proposal beginning on page 41 as "an event that the Company prepares for where the Company's service territory appears in the National Hurricane Center's '5-day Probability of 50kt Winds' forecasting map".

Q. Please describe the Company's proposal for storm reserve expenditures.

A. As stated on page 92 of the Accounting Panel initial testimony, the Company proposes to increase the historic test year level of storm reserve expenditures by the general escalation factor to arrive at the rate year amount. According to the Company's Accounting Panel Exhibit___(AP-E3) Schedule 6, the Company requests $54.1 million in RY1.

Q. How does the Panel believe that the Company determined its proposed storm allowance level?

A. The Panel believes that the Company applied the escalation factor to $51.5 million, which was the storm allowance cost that was approved for 2025 or RY3 of the Company's current rate plan.

Q. Does the Panel recommend any adjustments to the Company's proposed funding level?

A. Yes, the Panel recommends an adjustment based on the historical three-year average including qualified prestaging and mobilization costs for forecasted major storms that do not materialize as well as recovery for major storm costs. The Company's normalized three-year average for RY1 is $35.2 million.

Q. How did the Panel determine $35.2 million for RY1?

A. The Panel reviewed the Company's historical spending on pre-staging and mobilization costs for forecasted major storms that did not materialize, and major storm costs the Company incurred in the last three years, from 2022 to 2024. The Company provided this information in response to DPS-902. Our review of the Company's costs indicates that the three-year average is $32.5 million. Adjusting the three-year average to reflect inflation results in the $35.2 million allowance for RY1.

Q. Why does the Panel recommend this adjustment to the storm allowance?

A. The Company has experienced significantly lower storm costs in the last three years compared to 2020 and 2021. As shown in the response to DPS-902, the Company's historical spending was $34.5 million, $19.8 million, and $43.2 million in 2022, 2023, and 2024, respectively. As it is our general practice, we rely on historical trend analysis to set future storm allowances because the industry does not have a tool to accurately forecast future storm events and costs. Therefore, the Panel recommends the three-year average spending plus inflation to arrive at the RY1 amount of $35.2 million.

Reliability Performance Mechanism

Q. Please provide a brief overview of the currently effective Reliability Performance Mechanism (RPM) for Con Edison.

A. The current RPM consists of four categories: system-wide threshold standards; major outage; remote monitoring system (RMS); and program standards. The system-wide threshold standards, major outage, and program standards categories are comprised of multiple metrics. Each metric is used to monitor the Company's performance in

a calendar year. The total negative revenue adjustment in the current RPM is $197.5 million for both 2023 and 2024, and $200.5 million for 2025.

Q. What metrics are included in the existing system-wide threshold standard category?

A. The system-wide threshold standard category consists of the following metrics: radial SAIFI with a threshold of 0.495; radial CAIDI, with a threshold of 2.04 hours; network SAIFI with a threshold of 0.0176; and network CAIDI with a threshold of 6.89 hours.

Q. Panel, what are the SAIFI and CAIDI performance metrics?

A. SAIFI is the average number of times that a customer is interrupted for five minutes or more during a year. CAIDI is the average interruption duration time in hours for those customers that experience an interruption during the year.

Q. Did the Company propose any changes to the RPM?

A. Yes. The Company proposes a change to the system-wide threshold standard category and another change to the program standard category.

These changes are discussed on pages 170 to 180 of the EIOP's initial testimony.

Q. Please describe the Company's proposed change to the system-wide threshold standard category?

A. As discussed on pages 174 and 175 of the EIOP initial testimony, the Company proposes the establishment of a non-network threshold standard compound measure using CAIDI in conjunction with SAIFI. As further explained in the testimony, when the Company's SAIFI performance is better than the Commission's established SAIFI target, a corresponding increase would apply to the CAIDI target. The Company states, in the response to DPS-645, that the CAIDI target would increase by eight percent if SAIFI performance is 10 percent better than the SAIFI target.

Q. For what reason is the Company proposing to use CAIDI in conjunction with SAIFI?

A. The Company claims on pages 171 to 174 that using CAIDI as an independent measure of reliability is misleading and that a single long duration interruption can tremendously impact CAIDI. The Company also claims that with its

current increased mobilization efforts, outages resulting from storms that would have caused interruption durations to meet the 24-hour definition for a major storm, are now being restored quicker. The Company believes that these interruption durations are negatively impacting CAIDI performance because they do not qualify for a major storm exclusion in the current RPM. Since these storms do not meet the 24-hour mark to qualify as a major storm, associated outages are included when calculating the Company's annual average outage frequency performance.

Q. What constitutes a major storm?

A. As defined in 16 NYCRR Section 97.1(c), a major storm is one where at least 10 percent of the customers within an operating area are interrupted or customers are out of service for at least 24 hours. All the State's investor-owned utilities currently have a major storm exclusion in their RPMs.

Q. Did the Company provide any examples of storm events when CAIDI was tremendously impacted because of interruption durations that did not

last 24 hours?

A. No. In its EIOP testimony and exhibits, the Company did not include specific historical data detailing any outage events that fell just short of lasting 24 hours and qualifying as a major storm.

Q. How would the use of SAIFI in conjunction with CAIDI change the current non-network system-wide threshold standard category?

A. The application of this compound measure would impact how non-network system-wide threshold standard metrics are assessed. Specifically, a 0.446, or 10 percent better than the current SAIFI performance target of 0.495, would result in an eight percent increase of the CAIDI target, from 2.04 to 2.20.

Q. Does the Panel agree with the Company's proposal to use SAIFI in conjunction with CAIDI?

A. No. We have several concerns regarding this proposal. First, the Commission established distinct CAIDI and SAIFI targets in the RPMs of all the State's investor-owned utilities, and none of these RPMs include a compound measure for CAIDI and SAIFI. Utilities are statutorily

required to provide safe and adequate service to their customers and therefore need no further incentive to do so. Second, in the October 12, 2004, Order Adopting Changes to Standards on Reliability of Electric Service in Case 02-E-1240, referred to as the Reliability Order, the Commission confirms its preference for distinct metrics by stating that the frequency of interruptions and the duration of interruptions are two separate factors that must be measured separately. Relying on the Company's proposed compound measure to assess non-network reliability performance may potentially mask poor CAIDI performance. That is, an overperformance in SAIFI would result in an increase CAIDI target. This would provide an additional or unnecessary flexibility for the Company to underperform its CAIDI. Third, the Company has met its non-network threshold standards every year from 2020 to 2024, and there is no evidence showing that CAIDI performance is worsening because of storm events that do not meet the 24-hour mark for major storm exclusion. For example, the 2024 CAIDI

performance was 1.88, which is lower than both the threshold standard target of 2.04 and the past five-year average of 1.92. Therefore, two distinct and independent measures, one for CAIDI and another for SAIFI, are necessary to best gauge the Company's reliability performance over the course of a year, and the Company's proposal to use CAIDI in conjunction with SAIFI and we recommend the Commission reject the Company's proposal.

Q. What program standards are included in the RPM?

A. The RPM includes program standards for repair to damaged poles, removal of temporary shunts, repair of streetlights and traffic signals, replacement of over-duty circuit breakers, repair of Level II equipment deficiencies, and a metric for Westchester County resilience and reliability.

Q. Please describe the change that the Company proposes to the program standard category.

A. On pages 175 to 180 of the EIOP initial testimony, the Company proposes to remove the RPM program standard for the over-duty circuit breaker metric.

Q. What does this metric require?
A. For the over-duty circuit breaker metric, the Company is required to replace at least 50 over-duty circuit breakers in each calendar year and at least 180 over the three-year cycle. There is a revenue adjustment of $0.1 million per breaker, with a maximum exposure of $1.5 million annually if the annual target is not met. At the end of the three-year cycle, there will be an additional revenue adjustment of $0.1 million per breaker, with an annual cap of $3.0 million, if the cumulative three-year cycle target is not met.
Q. What is Con Edison’s justification for proposing to discontinue the over-duty circuit breaker metric?
A. Con Edison claims on page 175 of the EIOP initial testimony that Distributed Generation (DG) no longer have issues connecting to the Company’s system because most DG customers are now using solar and battery technologies as opposed to synchronous generators that were used when this program metric was established. The Company also claims in the EIOP testimony that

because a significant number of retrofits have been completed since 2005, a performance metric for the remaining units is unnecessary.

Q. Does the Panel have any concerns with the Company's proposal to discontinue the over-duty circuit breaker metric?

A. Yes, we have several concerns. As shown in its response to DPS-584, the Company completed 1,341 breaker retrofits from 2005 through 2024. As of April 15, 2025, a total of 357 over-duty breakers remain on the Company's system. While the Company has completed a large number of retrofits, the remaining over-duty breakers represent more than 20 percent of all breakers in the Company's system. This is still a significant number, and we believe that the over-duty circuit breaker program is necessary to ensure that Con Edison continues to upgrade these substandard breakers. Our next concern is regarding the potential barrier of over-duty breakers to DG interconnection. In the response to DPS-584, the Company provides the types of DG installations or technologies used by customers that have interconnected to the Company's system

from 2015 through 2024. As shown in this response, there are customers that are still using synchronous generators to connect to Con Edison's system. When asked if the technology changes and circuit breaker upgrades made in recent years eliminate the barrier to DG interconnection, the Company states in the response to DPS-584 that it is highly unlikely but could not firmly assert that it is no longer possible for an over-duty breaker to be a barrier to connecting distributed generation customers. Finally, removing the over-duty circuit breaker metric could have a negative impact on the Medium and Low Voltage Circuit Breaker Reliability Program. Currently, the retrofits of over-duty circuit breakers are being performed under this program, and the Company has been replacing breakers on budget and according to the RPM requirements. In the response to DPS-584 the Company states that it is only proposing to remove the over-duty metric from the RPM but plans to continue to retrofit breakers, under the Medium and Low Voltage Circuit Breaker Reliability Program, at the same

rate as it has done in the past. Considering that the Company's forecasted level of activity and associated funding levels are not changing for the Medium and Low Voltage Circuit Breaker Reliability Program, we do not see a need for the Company to discontinue the over-duty circuit breaker metric.

Q. Does the Panel recommend any other changes to the current RPM?

A. Yes, we recommend that the Commission increase the negative revenue adjustments, or NRAs, associated with the system-wide threshold standard category. As previously discussed, this category consists of four metrics, the radial SAIFI, radial CAIDI, network CAIDI, and network SAIFI. Currently, there is a negative revenue adjustment of $5 million for each metric if the Company exceeds or does not meet its annual performance target. Our proposal would increase the negative revenue adjustment from $5 million to $15 million for each metric.

Q. Is the Company proposing any changes to the existing NRAs of the system-wide threshold standard?

A. No. The Company proposes to maintain the existing SAIFI and CAIDI NRAs for both its radial and network systems.

Q. Please describe Panel's rationale for changing the existing CAIDI and SAIFI NRAs.

A. We recommend adjusting CAIDI and SAIFI NRAs to reflect Con Edison's current rate base. When the $4 million and $5 million NRAs for CAIDI and SAIFI metrics were established in the Commission Rate Order in Case 04-E-0572, a basis point was worth approximately $0.4 million after tax in 2005. In 2025, an after-tax basis point equates to approximately $1.4 million, which is approximately three times that of 2005. While the CAIDI NRAs increased from $4 million to $5 million in the Rate Order in Case 07-E-0523, the Company's SAIFI NRAs have remained unchanged since the Rate Order in Case 04-E-0572. In addition, the Company's SAIFI and CAIDI NRAs are among the lowest in the State in terms of basis point value. Specifically, the total potential exposure of the four metrics is $20 million or about 10 basis points pre-tax. By Comparison, Central Hudson Gas and Electric Corporation's

potential SAIFI and CAIDI negative revenue adjustments equate to approximately 30 basis points, pre-tax. By increasing the potential NRAs to $15 million for each metric, the total exposure would be $60 million or approximately 30 basis points. Therefore, we recommend the Commission approve these modifications because they reflect the current rate base of Con Edison and align the Company's negative revenue adjustments with other investor-owned utilities in New York.

Q. Has the Panel included these modifications in the revised Electric Service Reliability Performance Mechanism?

A. Yes. These modifications can be found in Exhibit___(ERRPM-4).

Q. When would the new RPM go into effect?

A. We recommend that the RPM be effective on January 1, 2026, and remain in effect until reset by the Commission.

Q. Why is January 1, 2026, the effective date?

A. All electric utility RPMs currently in place for electric utilities are on a calendar year basis because most of the components of the RPM are

measured and monitored on a calendar year basis. In its prior electric rate orders, the Commission has directed that the RPMs become effective at the beginning of the calendar year. This also coincides with the beginning of Con Edison's Rate Year.

ONIM

Q. What is the Outage Notification Incentive Mechanism?

A. The ONIM specifies actions the Company must take to communicate with customers and state, city, and local government officials during outage events. As stated on page 81 of the Customer Operations Panel initial testimony, the Company's current Customer Service Performance Mechanism adopted in Cases 22-E-0064 and 22-G-0065 consists of five metrics: Commission Complaints; Call Answer Rate; two Customer Satisfaction Surveys, one for emergency interactions and one for non-emergency interactions; and the ONIM. ONIM, which was approved by the Commission in its April 23, 2002 Order Approving Outage Notification Incentive Mechanism in Case 00-M-0095, provides increasing

requirements depending upon the number of customers affected within one or more load areas and defines time requirements to perform such activities. Additionally, ONIM is one of nine Customer Service Incentive Mechanisms for which the Company is subject to negative revenue adjustments for failure to communicate specific information within the required time. The Company's maximum negative revenue adjustment for ONIM is $8 million for RY3 of the current rate plan.

Q. What does the Company propose regarding the ONIM?

A. As stated on page 81 of its Customer Operations Panel initial testimony, the Company proposes not to renew the ONIM as a Customer Service Performance Mechanism metric.

Q. What rationale did the Company provide?

A. On page 82 of its Customer Operations Panel initial testimony, the Company claims that it has collaborated with the OREP Staff to incorporate the ONIM's requirements into the Company's annually filed Emergency Response Plan.

Q. Are the Emergency Response Plans routinely reviewed?

A. Yes. Utilities must file Emergency Response Plans by December 15 each year for review and Commission approval.

Q. Has the Commission addressed ONIM recently when approving the Emergency Response Plans?

A. Yes. The Company attempted to remove ONIM requirements from its Emergency Response Plan in 2021. In the Order Approving, Subject to Modifications, the Amended Emergency Response Plans in Case 20-E-0618, issued July 15, 2021, the Commission determined that because ONIM is a communication protocol and was part of previously approved plans, it was appropriate for the ONIM to remain in place. Therefore, the Commission directed the Company to refile an Emergency Response Plan that included the ONIM. In the Order Approving Emergency Response Plans Case 22-E-0678, issued April 20, 2023, the Commission states that Staff worked with Con Edison specifically on removing explicit references to ONIM from the Company's ERP while ensuring that the ERP still maintains the

underlying requirements of the ONIM. That is, Con Edison's ERP details all the requirements of the ONIM although it does not explicitly reference the ONIM.

Q. Does the Panel agree with the Company's proposal regarding the ONIM?

A. No. The Company's Customer Operations Panel testimony does not provide an adequate basis to remove the ONIM metric from the Customer Service Performance Mechanism. Given that Con Edison's Emergency Response Plan still maintains the underlying requirements of the ONIM and the Commission's recent actions, we do not support the Company's request to remove ONIM in this rate proceeding. Moreover, Con Edison may petition the Commission seeking authority to remove the ONIM and its associated negative revenue adjustment from the Customer Service Performance Mechanism. Therefore, we recommend the Commission reject Con Edison's proposal to discontinue the ONIM in this proceeding.

Information Technology

Q. Please summarize the capital investment portion of the Company's IT Panel testimony this Panel

reviewed.

A. On page 15 of IT Panel's initial testimony, the Company proposes total information technology, or IT, capital expenditures of approximately $1.02 billion, $931 million, and $781 million in RY1, RY2, and RY3, respectively. Of these capital expenditures, the ERRPM Panel reviewed approximately $73 million, $65 million, and $70 million in RY1, RY2, and RY3, respectively. The Panel's recommendations regarding specific programs and projects within each of these categories are discussed throughout this testimony.

Q. Do any other Staff testimony provide recommendations regarding the Company's IT capital expenditure program and project proposals?

A. Yes. The Direct Testimony of Andrew Carpenter, or AC, recommends additional IT capital and O&M adjustments to projects and programs proposed by the Company.

Q. Is the Panel sponsoring an exhibit that reflects its proposed adjustments to IT programs and projects?

A. No. The Panel's recommended adjustments for IT programs discussed herein are reflected in Exhibit (AC-3) of Direct Testimony of Andrew Carpenter.

Emergency Outage Communications Program

Q. Please describe the Company's Emergency Outage Communications Program?

A. Starting on page 138 of Exhibit___(IT-5), the Company explains that the program is focused on upgrading the Company's emergency communication systems to improve the speed and efficiency of relaying critical information to its 3.7 million account holders during large-scale outages or severe weather events. This enhancement includes acquiring dedicated telecom bandwidth, deploying advanced load-balancing and auto-scaling technologies, and integrating high-throughput automated program interfaces, or APIs, and Artificial Intelligence-driven text-to-speech systems for natural-sounding emergency messages.

Q. What is the Company's justification and need for this program?

A. The Company claims on pages 138 to 140 of Exhibit___(IT-5) that the existing communication infrastructure is insufficient for handling large-scale, multi-regional emergencies due to reliance on shared bandwidth and shared throughput with telecom carriers. The Company claims the program is designed to enhance message delivery speed, reduce call center traffic during emergencies, and potentially prevent rolling blackouts by facilitating faster and more efficient communication with customers.

Q. What is the Outage Communication Program and how does it differ from the Emergency Outage Communications Program?

A. According to pages 162 to 164 of Exhibit___(IT-5), the Outage Communications Program is a separate initiative that supports ongoing customer messaging for events like weather alerts and service updates. Unlike the Emergency Outage Communications Program, which proposes new infrastructure to speed up communications during major emergencies.

Q. How do the funding requests for both programs compare?

A. For the Emergency Outage Communications Program, the Company requests $2.1 million, $3.2 million, and $3.2 million in RY1, RY2, and RY3, respectively. For the Outage Communication Program, the Company requests $2.4 million, $2.3 million, and $2.1 million in RY1, RY2, and RY3, respectively.

Q. Does the Panel agree with the Company's proposal for the Emergency Outage Communications Program?

A. No. We are concerned about the scale of investment required for dedicated telecom bandwidth, especially given the current adequacy of storm response systems. The Company claims in response to DPS-712 that this communication system could alert customers to lower their energy usage preventing cascading outages and associated restoration costs. This is unnecessary as the Company has been effectively using its existing communication system which went into service in 2018, as stated on page 162 of Exhibit___(IT-5).

Q. Does the Panel have any other concerns with the proposed Emergency Outage Communications Program?

A. The Panel notes that the Company has not provided a benefit-cost analysis to justify the program. While the Company claims in its response to DPS-712 that the program would result in both time and cost efficiencies in emergencies, these assertions are qualitative and lack quantifiable support. For example, in the same response, the Company references a water main break instance in Bronx to illustrate the effectiveness of timely communications. However, it does not present data-driven projections or metrics showing how the proposed investments would materially reduce outage duration or cost on a larger scale.

Q. What is the Panel's recommended funding for the Emergency Outage Communications Program?

A. The Panel recommends that the Commission reject the requested funding for the proposed program. This represents a downward adjustment of $2.1 million, $3.2 million, and $3.2 million in RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel acknowledges the necessity of

communication during emergency outages, which is currently supported by the existing Outage Communications Program. The Panel does not agree an additional program is needed to build dedicated high-throughput infrastructure and establish priority telecommunication service contracts. Moreover, the Company has not provided quantifiable evidence demonstrating that the proposed Emergency Outage Communications Program would result in measurable improvements in restoration time and lower costs.

Storm Response Technology Advancements

Q. Please describe the Company's Storm Response Technology Advancements Program.

A. Starting on page 103 of Exhibit___(IT-6), the Company explains that the program is designed to reduce the time required to restore service after severe weather events by leveraging advanced technologies. These include unmanned aerial vehicles, or UAVs, for damage assessment, overhead sensors for infrastructure monitoring, a state-of-the-art distribution system event simulator, self-service technologies for mutual

aid crew onboarding, GPS devices for non-Company vehicles, mobile applications for material supply coordination, and a modern weather modeling impact application.

Q. What capital funding does the Company request for this program?

A. The Company requests $9.31 million, $5.79 million, and $2.90 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company claims on pages 103 to 104 of Exhibit___(IT-6) that the program will improve storm response efficiency by enabling faster damage assessment, right-sizing crew and material needs, and by optimizing resource deployment. The Company claims the technologies will lead to reduced outage durations, lower costs, and better customer experiences during extreme weather events.

Q. Does the Panel agree with the Company's proposal?

A. No. The proposed technologies, such as UAVs, pole-top sensors, and weather modeling

applications, lack metrics to estimate the success of the program and determine the quantitative benefits.

Q. What are the Panel's specific concerns with this program?

A. As stated in response to DPS-714 these are advanced and state-of-the-art technologies. The Panel is concerned about implementing state-of-the-art technologies whose costs are high since they may not provide proportional benefits relative to their expense. Also, the Company did not provide a quantitative cost benefit analysis for this program.

Q. What is the Panel's recommendation?

A. The Panel recommend the Commission reject the proposed program. Thus, the Panel recommends downward adjustments of $9.31 million, $5.79 million, and $2.90 million for RY1, RY2, and RY3, respectively.

OMS System Hardening and Modernization

Q. Please describe the Company's Operational Storm Reporting and Systems Modernization Program.

A. Starting on page 78 of Exhibit___(IT-6), the Company explains that the program involves

upgrading and enhancing several systems to improve operational storm reporting, data integrity, and business continuity. Key initiatives include upgrading the Oracle Utility Analytics, or OUA, platform to version 2.9 by 2026, enhancing the weather impact planning and forecasting model by ingesting additional data streams, and modernizing the Outage Management System, or OMS, family of applications. The program also includes implementing an enterprise job scheduling application, upgrading the Oracle Field Services, or OFS, platform, enhancing the Outage Map, and migrating reporting to a cloud-based Power Business Intelligence, or BI, platform.

Q. What capital funding does the Company request for this program?

A. The Company requests $24.9 million, $19.1 million, and $13.8 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company claims on pages 78 to 79 of Exhibit___(IT-6) that the upgrades and

enhancements are essential to maintain system stability, ensure operational preparedness, and improve customer experience during weather events. According to the Company the weather impact planning and forecasting model will improve predictions of storm impacts, enabling better crew allocation and damage prevention. Migrating to cloud-based reporting and modernizing platforms ensure scalability, cost efficiency, and alignment with industry standards. Additionally, the Company claims the program addresses regulatory compliance and reputational risks by ensuring timely and accurate outage and restoration information is provided to customers and regulatory authorities.

Q. Does the Panel agree with the Company's proposal for this project?

A. In part. The Panel acknowledges the importance of maintaining software patching and licensing to ensure network security and supports investments that ensure the continued reliability of critical systems. However, the Panel does not agree this program is solely

dedicated to the maintenance of its OMS operations, it also includes enhancements. According to the funding allocations provided in the response to DPS-721, the Company proposes $20 million over the next three years for weather impact planning enhancements, $8.7 million over three years for reporting technology enhancements, and over $20 million for the other enhancements over three years. Only $7 million is earmarked for software upgrades and standardizations directly associated with system maintenance.

Q. What is the Panel's recommendation?

A. The Company states on page 83 of Exhibit___(IT-6) that it has historically spent $8 million per year over the last five years. The Panel does not agree that all the proposed enhancements are required within the next three years. The Panel recommends the Commission set the expense level for this program at the historic spending level, which is sufficient for software upgrades and fewer enhancements.

Q. What is the Panel's recommended funding for this program?

A. The Panel recommends a capital budget of $9.5 million, $9.7 million, and $9.9 million in RY1, RY2, and RY3, respectively. The recommended funding levels equate to downward adjustments of approximately $15.4 million, $9.4 million, and $3.9 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Panel's recommendation.

A. The Panel's recommendation is to align the program's budget with historic work and expenditure levels. The adjustments ensure that the Company's request reflects realistic and proven implementation capabilities while maintaining progress on critical system upgrades and enhancements.

Transforming Outage Management with Advanced AMI

Q. Please describe the Company's Transforming Outage Management with AMI Integrations Program.

A. Starting on page 112 of Exhibit___(IT-6), the Company explains that the program focuses on enhancing resiliency and operational excellence by leveraging smart meter data to improve outage management capabilities. The program includes

enhancements such as integrating the Outage Management System, or OMS, with Itron's Outage Detection System, or ODS, automating restoration validation and ticket closure, refining outage predictions, improving load management capabilities, and enhancing customer communications. These upgrades are intended to streamline processes, improve operator response times, and provide more accurate and timely information to customers during outages.

Q. What capital funding did the Company request for this program?

A. The Company requests $6.5 million, $6.9 million, and $22.5 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. The Company claims on pages 112 to 118 of Exhibit___(IT-6) that the program is needed to fully automate and streamline outage management processes, improve operator response times, and enhance customer communications. The integration of AMI data allows for faster outage detection, validation of partial power

conditions, and automated ticket closure, reducing the need for unnecessary truck rolls. The program also supports load management capabilities to mitigate large-scale outages and ensures compliance with federal telemarketing regulations for proactive customer communications.

Q. Does the Panel agree with the Company's proposal?

A. No. The Panel is concerned about the use of state-of-the-art technology, that existing capabilities for customer communication are currently adequate, and the lack of clearly defined benefits and metrics of success for the program. The Company states in response to DPS-723 it is focused on the implementation of each program and has not established metrics. The Company states on page 123 of Exhibit___(IT-6) it does not have a benefit cost analysis, nor will the program provide a significant financial benefit.

Q. What does the Panel recommend?

A. The Panel recommends that the Commission reject the program. This represents a downward

adjustment of $6.5 million, $6.9 million, and $22.5 million for RY1, RY2, and RY3, respectively.

Q. What is the rationale for the Panel's recommendation?

A. The Panel's recommendation is based on the lack of benefit cost analysis and that there is no showing of significant financial benefits. The Panel does not believe state-of-the-art technology should be implemented unless an analysis shows the customers will benefit.

Q. Does that conclude the Panel's testimony at this time?

A. Yes.